



ENCAP INVESTMENTS L.P.
EnCap Energy Capital Fund X

Quarterly Review

As of December 31, 2023

Confidential



ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund X

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Section I: Summary of Significant Events and Valuation

Activity for the three months ended December 31, 2023

Transactions		
<i>Type</i>	<i>#</i>	<i>\$ in millions</i>
Commitments	0	0.0
Investments	1	27.1
Distributions-Cash	12	370.0

Fund X made no commitment expansions or adjustments to portfolio companies.

Fund X made an investment in Enduring IV for \$27.1 million.

Fund X received cash distributions from the following portfolio companies (\$ in millions):

Distributions:

PetroLegacy	\$ 108.9
Advance	100.0
EnCap Minerals	66.1
Grayson Mill II	35.5
Novo	16.8
Verdun	16.0
Fortis Oklahoma	8.7
Plains All American	7.9
Grayson Mill	7.5
OGX IV Quinn Ranch	1.9
Staghorn II	0.4
Ameredev II	0.3
	<u>\$ 370.0</u>

Fund Performance Summary (\$ in millions)

The table below presents investment performance since inception. A valuation by investment is incorporated in the subsequent table.

<i>Date of Initial Investment</i>	<i>Total Committed</i>	<i>Capital Invested</i>	<i>Realized Proceeds</i>	<i>Unrealized Value</i>	<i>Total Value</i>	<i>Gross IRR</i>	<i>Net IRR</i>
Mar-15	\$ 6,914.8	\$ 6,239.0	\$ 9,520.0	\$ 5,304.0	\$ 14,824.0	20.2%	15.5%



EnCap INVESTMENTS L.P.

EnCap Energy Capital Fund X

Summary of Significant Events and Valuation

Portfolio Status

Fund X								
(As of December 31, 2023; \$ in millions)								
Company	Date of Initial Investment	Commitment	Total Capital Invested	Realized Proceeds	Unrealized Value	Total Realized Proceeds & Unrealized Value	ROI	Gross IRR
<i>Realized or Substantially Realized Investments</i>								
Southland	Mar-15	\$ 465.5	\$ 465.5	\$ -	\$ -	\$ -	0.0x	n/a%
Ameredev	May-15	168.3	168.3	514.8	-	514.8	3.1	273.2
Talon III	May-15	13.9	13.9	57.6	-	57.6	4.1	243.5
Grenadier II	May-15	100.8	100.8	145.6	-	145.6	1.4	8.6
Moda	Jun-15	112.4	112.4	175.5	7.3	182.8	1.6	17.1
Staghorn II	Oct-15	164.9	164.9	389.4	4.2	393.6	2.4	154.9
Felix II	Nov-15	335.3	335.3	2,637.2	-	2,637.2	7.9	46.3
Raisa	Apr-16	252.7	252.7	268.1	-	268.1	1.1	1.5
Advance	May-16	435.4	435.4	1,108.8	79.6	1,188.4	2.7	20.8
Novo	Aug-16	491.3	491.3	1,159.9	278.0	1,437.9	2.9	23.6
PetroLegacy	Sep-16	443.3	443.3	1,074.2	89.5	1,163.7	2.6	18.7
Grayson Mill	Oct-16	58.7	58.7	44.8	-	44.8	0.8	(6.3)
Royal Holly	Jan-17	26.2	26.2	8.7	-	8.7	0.3	(46.4)
Fortis Oklahoma	Mar-17	161.3	161.3	173.8	-	173.8	1.1	1.6
Staghorn III	May-17	276.8	276.8	29.3	1.8	31.1	0.1	(32.8)
Olifant	Jun-17	76.2	76.2	11.2	-	11.2	0.1	(64.6)
		3,583.0	3,583.0	7,798.9	460.4	8,259.3	2.3x	21.5%
<i>Unrealized Investments</i>								
Verdun	Jan-16	215.9	207.0	531.3	728.7	1,260.0	6.1	
Plains All American	Jan-16	280.0	280.0	156.5	340.6	497.1	1.8	
OGX IV Quinn Ranch	Jun-16	297.1	257.6	24.4	390.0	414.4	1.6	
EnCap Minerals	Jun-16	732.0	625.1	683.6	1,521.9	2,205.5	3.5	
Ameredev II	Mar-17	685.0	546.4	-	850.0	850.0	1.6	
Mongoose	Apr-17	283.7	136.5	-	20.9	20.9	0.2	
Enduring IV	Jun-17	475.0	298.6	16.5	324.1	340.6	1.1	
Grayson Mill II	Apr-21	196.4	196.4	308.8	547.9	856.7	4.4	
Verdun Austin Chalk JV	Dec-21	100.0	74.0	-	69.0	69.0	0.9	
Grayson Mill III	Jun-23	66.7	34.4	-	50.5	50.5	1.5	
		3,331.8	2,656.0	1,721.1	4,843.6	6,564.7	2.5x	
		\$ 6,914.8	\$ 6,239.0	\$ 9,520.0	\$ 5,304.0	\$ 14,824.0	2.4x	20.2%

Note: Amount committed, invested and distributed shown net of \$79.3 million recallable bridge loan to Southland.



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EnCap Energy Capital Fund X

Summary of Significant Events and Valuation

Comparison to prior quarter
(\$ in millions)

	Valuation		Q4 2023 Cash	Valuation Increase	% Change in Unrealized	Comments (> \$5MM and 5% change)
	9/30/2023	12/31/2023	Inv. (Distrib.)	(Decrease)	from 9/30/2023	
Staghorn II	\$ 5.4	\$ 4.2	\$ (0.4)	\$ (0.8)	-14.8%	
Staghorn III	1.8	1.8	-	-	0.0%	
Moda	6.9	7.3	-	0.4	5.8%	
Verdun	766.8	728.7	(16.0)	(22.1)	-2.9%	
Plains All American	340.6	340.6	(7.9)	7.9	2.3%	
Advance	133.1	79.6	(100.0)	46.5	34.9%	Sold minerals for more than 9/30 valuation
OGX IV Quinn Ranch	360.8	390.0	(1.9)	31.1	8.6%	Sold ~25% of the asset for higher valuation
EnCap Minerals	1,591.1	1,521.9	(66.1)	(3.1)	-0.2%	
Novo	309.4	278.0	(16.8)	(14.6)	-4.7%	
PetroLegacy	212.0	89.5	(108.9)	(13.6)	-6.4%	Decrease in oil and natural gas prices
Grayson Mill	7.5	-	(7.5)	-	0.0%	
Ameredev II	873.6	850.0	(0.3)	(23.3)	-2.7%	
Fortis Oklahoma	9.0	-	(8.7)	(0.3)	-3.3%	
Mongoose	26.9	20.9	-	(6.0)	-22.3%	Decrease in oil and natural gas prices
Enduring IV	316.2	324.1	27.1	(19.2)	-6.1%	Decrease in oil and natural gas prices
Grayson Mill II	582.7	547.9	(35.5)	0.7	0.1%	
Verdun Austin Chalk JV	80.1	69.0	-	(11.1)	-13.9%	Decrease in oil and natural gas prices
Grayson Mill III	45.5	50.5	-	5.0	11.0%	Positive drilling results and activity
	<u>\$ 5,669.4</u>	<u>\$ 5,304.0</u>	<u>\$ (342.9)</u>	<u>\$ (22.5)</u>	<u>-0.4%</u>	



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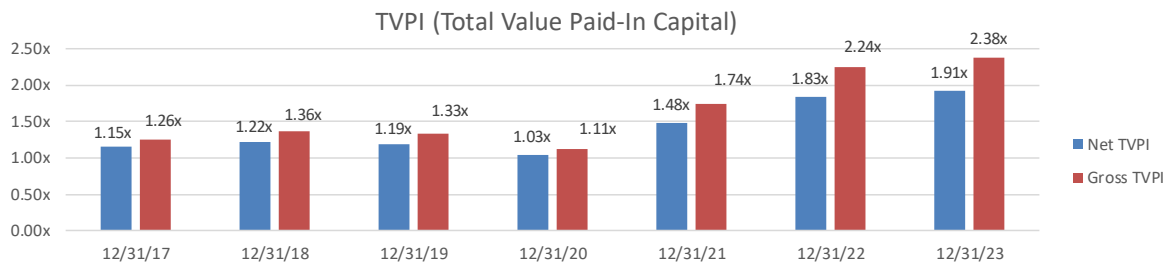
Summary of Significant Events and Valuation

Fund Status

(\$ in millions)

	12/31/17	12/31/18	12/31/19	12/31/20	12/31/21	12/31/22	12/31/23
Total Commitments	6,701.0	6,701.0	6,701.0	6,701.0	6,701.0	6,701.0	6,701.0
Total Paid-In Capital	4,536.1	5,466.9	6,030.7	6,261.9	6,722.3	6,846.1	6,978.9
Recallable Capital	419.1	419.1	442.7	448.6	448.6	471.0	542.4
% Total Capital Drawn*	61.4%	75.3%	83.4%	86.8%	93.6%	95.5%	96.3%
Remaining Commitment*	2,584.0	1,653.2	1,113.0	887.7	427.3	325.9	264.5
Investments at Cost	4,237.5	5,084.0	5,600.3	5,801.4	6,169.7	6,231.7	6,239.0
Investments at FMV	5,328.1	6,907.0	7,441.7	6,457.5	10,716.8	13,957.6	14,824.0
Gains (losses) - on unrealized companies	458.2	1,190.7	288.5	49.4	2,760.0	4,732.7	3,908.7
Gains (losses) - on realized companies	632.4	632.3	1,552.9	606.7	1,787.1	2,993.2	4,676.3
Gross Distributions	942.2	1,059.8	1,254.7	1,357.8	3,280.8	5,975.2	9,520.0
Cash Balance	55.2	70.3	48.6	75.6	104.3	119.8	74.8
# of Companies Funded	27	26	24	25	24	25	26
# of repeat teams	15	14	14	15	9	10	11
# of new teams	12	12	10	10	15	15	15
Realized above cost	3	3	4	5	7	9	11
Realized below cost	-	1	3	4	4	5	5
Unrealized above cost	12	15	11	6	8	10	8
Unrealized at cost	9	1	-	1	-	-	-
Unrealized below cost	3	6	6	9	5	1	2
Gross Distributions:							
% of total drawdowns	20.8%	19.4%	20.8%	21.7%	48.8%	87.3%	136.4%
% of committed capital	14.1%	15.8%	18.7%	20.3%	49.0%	89.2%	142.1%
Key Fund Valuation Metrics:							
Gross IRR	20.8%	21.5%	13.7%	3.9%	16.6%	20.7%	20.2%
Gross DPI (Distributions to investment)	0.22x	0.21x	0.22x	0.23x	0.53x	0.96x	1.53x
Gross RVPI (Residual value to paid-in capital)	1.04x	1.15x	1.10x	0.88x	1.21x	1.28x	0.85x
Gross TVPI (Total value to paid-in capital)	1.26x	1.36x	1.33x	1.11x	1.74x	2.24x	2.38x
Net to LPs:							
Net IRR	15.8%	13.6%	8.4%	1.1%	11.7%	15.7%	15.5%
DPI (Distributions to paid-in capital)	0.21x	0.19x	0.21x	0.22x	0.49x	0.87x	1.35x
RVPI (Residual value to paid-in capital)	0.94x	1.03x	0.99x	0.81x	0.99x	0.96x	0.56x
TVPI (Total value to paid-in capital)	1.15x	1.22x	1.19x	1.03x	1.48x	1.83x	1.91x

Historical Fund Performance (TVPI)



* Includes recallable capital

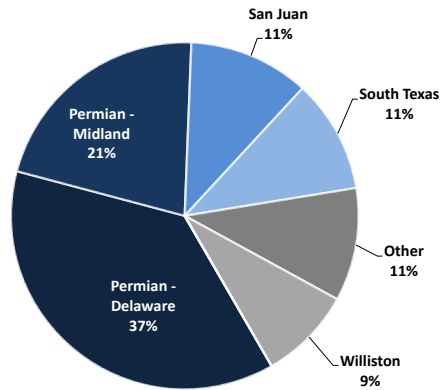
Projected Contributions and Distributions as a Percentage of Commitment

	2024	2025	2026
Contributions	5%	0%	0%
Distributions	30%	30%	20%

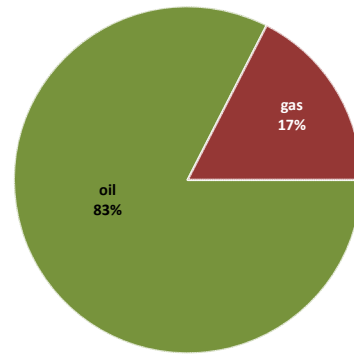
Portfolio Review and Discussion of Recent Transactions

Fund Capital Allocation

Fund X Capital Invested By Basin (Unrealized)



Fund X Oil & Gas Mix (Unrealized - Investment Weighted)

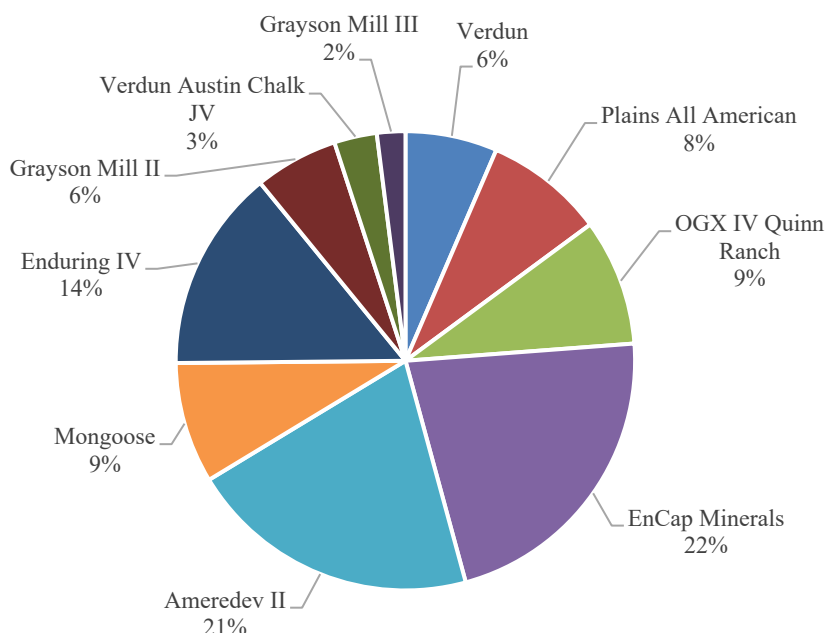


gas @20:1 mcf/bo
 NGL's included in oil @0.6bbl/bo

Fund X Unrealized Commitment Concentration

EnCap Energy Capital Fund X

Summary of Significant Events and Valuation



Significant Events and Transactions

- | | |
|----------------------------|---|
| Moda | - Announced the sale of its 50% interest in Vopak Moda Houston, an ammonia logistics hub, to Exolum; transaction closed on January 11, 2024, and represented the company's final remaining asset |
| Verdun | - Assembled ~33,600 net acres across the Eagle Ford trend with production performance from operated wells exceeding management's type curve expectations; also amassed a ~59,200 net acre position targeting the Austin Chalk formation |
| Plains All American | - Announced quarterly cash dividends on Fund X's preferred equity investment |
| Advance | - Closed on the sale of a majority of retained royalty assets for ~\$81 million; will look to sell the remainder of the retained assets in Q1 2024 |
| Novo | - Continued to manage portfolio of retained royalty assets; received first holdback release on February 15, 2024 |
| OGX IV | - Signed a PSA to sell 25% of the mineral interests across the Quinn Ranch to a private buyer for \$101.5 million |
| PetroLegacy II | - Monetized remaining 5.3 million OVV shares during the Q4 2023 and early January 2024 |
| Ameredev II | - Assembled ~34,000 net acres in the Northern Delaware Basin; production currently curtailed due to gas processing plant outage |
| Mongoose | - Assembled ~9,500 net acres in Pecos County; assets managed by Forge II |

EnCap Energy Capital Fund X*Summary of Significant Events and Valuation*

- | | |
|-------------------------|--|
| Enduring IV | - Completed significant acquisition of a private San Juan Basin operator; plan to run a 1 rig program in 2024 with a modest reinvestment rate |
| Grayson Mill II | - Continued to execute on a significant capital program while making distributions from operating cash flow |
| EnCap Minerals | - Made ~\$127 million in distributions (\$66 million net to Fund X); current industry activity should translate to growth for the entity in 2024 |
| Verdun Chalk JV | - Layered on gas hedges in Q4 2023 and restricting production on producing wells in line with hedged volumes |
| Grayson Mill III | - Assumed operations on acquired Ovintiv Bakken assets in Q3 2023 and continued running a 1-rig development program in Q4 |

Environmental, Social and Governance Highlights

During the due diligence phase of our investment process, EnCap ensures that the prospective management team members are fully aligned with EnCap's Environmental, Social and Governance ("ESG") building blocks prior to making the investment decision. Upon partnering with a new team, EnCap requires each portfolio company to have a likeminded ESG policy and supporting policies and procedures in place. In addition, EnCap requires each portfolio company to report on significant ESG issues and provide details of ongoing ESG developments during each quarterly Board meeting. This information is used by EnCap to quantitatively measure ESG activities and the impact on the performance of each portfolio company.

During Q4 2023, EnCap managed Fund X in accordance with ESG policies. There were no material changes to the ESG risks and opportunities facing the portfolio, and there were no material ESG incidents to report during the quarter.

Additionally, refer to our EnCap Sustainability Report available on our FIS DX website.

Other Reporting Matters

In addition to this report (which contains all fund financial statements in Section IV), the following reports net to each Limited Partner are available on our Investran DX website:

1. Statement of Partner's Capital, including allocation of the following:
 - a. Management fees
 - b. Net operating income (loss)
 - c. Realized gains (losses)
 - d. Unrealized gains (losses)
 - e. Unrealized incentive allocation
 - f. Incentive payments to the GP
 - g. Contributions paid
 - h. Distributions received
 - i. Recallable distributions received
 - j. Tax withholdings, if applicable
 - k. Portfolio company summary cash flows
2. Status of Payout
3. ILPA Fee and Expense Reporting Template

Other reporting available on our Investran DX website includes:

1. Cash call and distribution notices
2. Quarterly management fee calculations
3. Supplemental fund and portfolio company information (available 45 days after quarter end; 105 days after year end)
 - a. Fund organization information
 - b. Portfolio company organization information
 - c. Portfolio company financial information
4. Supplemental Schedule of Investments
5. All tax reporting
6. Annual audited financial statements
7. Advisory Board presentations
8. Legal documents

Please contact Katherine Cangelosi at Kcangelosi@encapinvestments.com if log on assistance is needed



Section II: Industry Overview

Crude Oil Overview

Crude oil spot prices (“WTI”) finished down ~21% QoQ and ~10% YoY (~\$8.50/Bbl drop), which was the biggest annual drop in oil prices since 2020. This was largely driven by 1) continued weaker than expected Chinese demand projections 2) eased/erased sanctions for Iran and Venezuela 3) continued outperformance by U.S. oil production, that by year-end was back to a record of ~13.3 MMBbl/d and 4) OPEC+ facing uncertainty in its alliance with Angola leaving the pact. Subsequent to year-end oil spot prices have rebounded into the high ~\$70’s/Bbl range driven mainly by increased Middle East geopolitical risks associated with 1) Israel/Hamas war and 2) ramping Red Sea tensions due to Houthi militants targeting commercial vessels. A number of key drivers will affect prices in 2024, namely: 1) the Ukrainian and Gaza wars 2) OPEC+ alliance and production discipline 3) elections in the U.S. and Canada and 4) whether U.S. production finally declines. Current oil prices remain constructive for M&A activity and 2024 is expected to be a strong year for activity.

Natural Gas Overview

Natural gas spot prices (“Henry Hub”) continued to remain very challenged and finished down ~4% QoQ and ~27% YoY. Gas prices may remain challenged during 2024 until LNG projects come online in early/mid 2025. The year-end gas strip curve remained in strong contango with the back of the curve (36-48 months out) hovering at ~\$4/MMBtu. Subsequent to year-end gas spot prices have fallen further into the sub-\$2’s/MMBtu range driven mainly by increases in associated gas production and a warm winter.

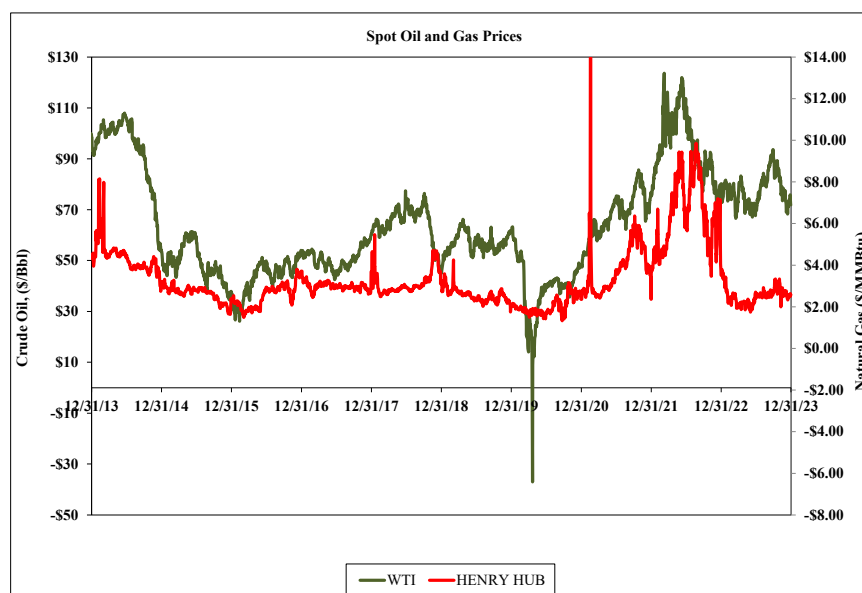


Figure 1: Oil & Gas Spot Prices

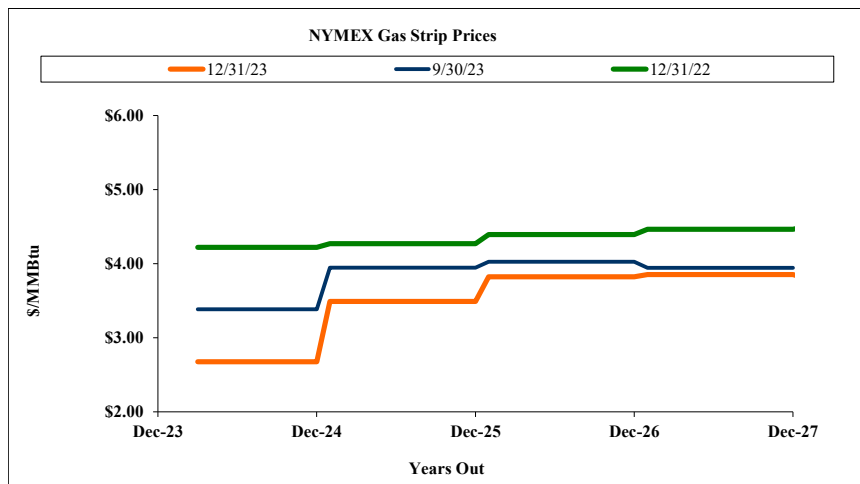


Figure 2: Natural Gas (Henry Hub) Strip Prices

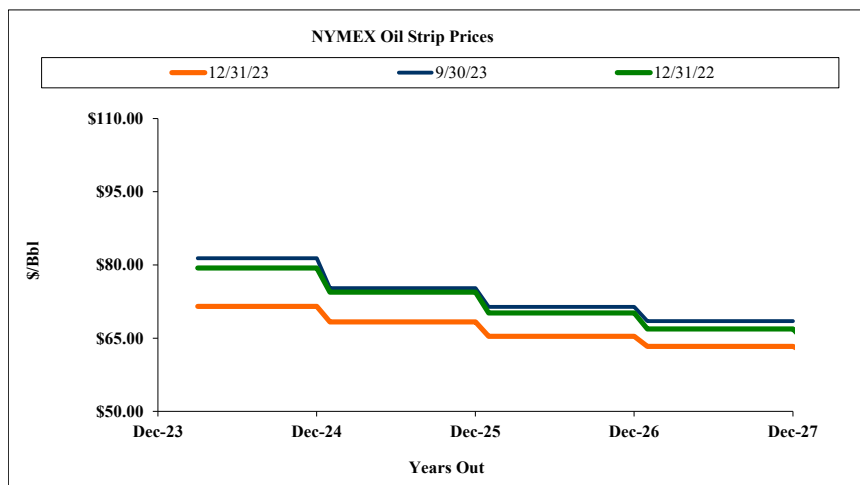


Figure 3: Crude Oil (WTI) Strip Prices

Drilling Activity

During Q4 2023, the total U.S. rig count (as measured by Baker Hughes) was flat QoQ, but down 20% YoY. The U.S. total natural gas rig count finished the quarter at 120 rigs, down from 116 rigs running at the end of Q3 2023. Year-over-year, the U.S. total natural gas rig count finished down 23%. The U.S. total oil rig count was flat during Q4 2023, moving from 502 rigs at the beginning of the quarter to 500 rigs at quarter-end. Year-over-year, the U.S. total oil rig count finished down 19% or ~121 rigs.

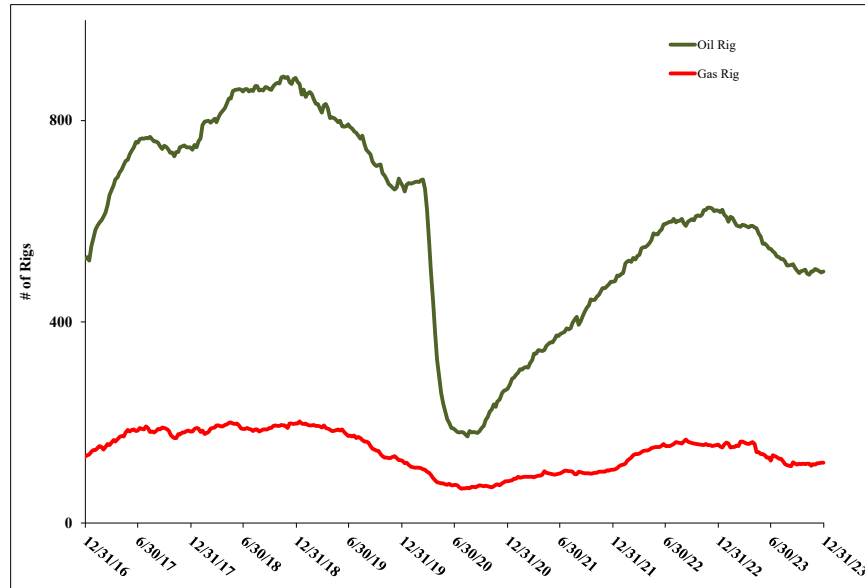


Figure 5: U.S. Total Onshore and Offshore Rig Count

M&A Activity

U.S. E&P total deal value hit an all-time yearly high of \$192 billion in 2023. Q4 2023 U.S. E&P total deal value was also hit a record high of \$144 billion. The majority of the yearly and quarterly totals were driven by mega transactions, namely 1) Exxon's \$65 billion corporate acquisition of Pioneer and 2) Chevron's \$60 billion corporate acquisition of Hess. During the quarter the Permian Basin remained the epicenter of activity with a consistent theme of buyers looking to secure dwindling high-quality tier 1 inventory. Buyers are clearly valuing inventory in core areas once again as Exxon (Pioneer acquisition) and Occidental (CrownRock acquisition) both set records paying an implied \$/location of ~\$4.3 million and ~\$4.8 million respectively. Mid-size A&D deals are expected to be active in 2024 as consolidators prune portfolios.

Report Sources: Enverus, Baker Hughes, Rapidan Energy Group and National Bank of Canada.



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EnCap Energy Capital Fund X

Section III: Portfolio Companies

Unrealized

- | | |
|---------------------------------|----------------------------|
| 1. VERDUN OIL | 21. PETROLEGACY ENERGY II |
| 2. PLAINS ALL AMERICAN PIPELINE | 22. GRAYSON MILL ENERGY |
| 3. OGX HOLDING IV-QUINN RANCH | 23. ROYAL HOLLY |
| 4. ENCAP MINERALS | 24. FORTIS-OKLAHOMA |
| 5. AMEREDEV II | 25. STAGHORN PETROLEUM III |
| 6. MONGOOSE | 26. OLIFANT |
| 7. ENDURING IV | |
| 8. GRAYSON MILL II | |
| 9. VERDUN AUSTIN CHALK JV | |
| 10. GRAYSON MILL III | |

Realized

11. SOUTHLAND ROYALTY
12. AMERICAN RESOURCE DEVELOPMENT
13. TALON OIL & GAS III
14. GRENADIER ENERGY PARTNERS II
15. MODA MIDSTREAM
16. STAGHORN PETROLEUM II
17. FELIX ENERGY II
18. RAISA ENERGY II
19. ADVANCE ENERGY
20. NOVO OIL & GAS



Valuation Assumptions

Valuations have generally been determined as follows (subject to adjustment for particular circumstances and review by the Advisory Board):

- 1) Private equity securities and mineral interests held during the initial investment period are valued at cost (which is considered fair value) until such time as there is a measurable change in fair market value based upon the assumptions below.
- 2) Private equity exploration and production investments held after the initial investment period (generally longer than twelve months unless an expansion from an earlier fund) are valued at the risk adjusted PV10 of the future cash flow stream. The future cash flow stream is based on third party engineered projections applying the NYMEX forward strip pricing as of the valuation date.

The reserve categories were generally risked as follows:

- a. PDP – no discount applied
- b. PDNP – a 20% discount applied
- c. PUD – a 40% discount applied
- d. Probable – a 80% discount applied
- e. Possible – a 90% discount applied

The average NYMEX strip prices by year as of December 31, 2023 were as follows:

	<u>\$/BO</u>	<u>\$/MMBTU</u>
2023	71.52	2.68
2024	68.32	3.49
2025	65.37	3.82
2026	63.32	3.85
2027+	62.02	3.80

Unevaluated oil and gas leaseholds and other operating assets, such as gathering systems and processing plants, are valued in consideration of the original acquisition price and more recent public or private transactions in similar assets.

- 3) Non-producing and early stage mineral interests and ORRIs are valued at precedent transactions or discounted cash flows if underlying third-party reserve reports are available. Mature producing mineral interests and ORRIs are valued using a cash flow multiple of actual trailing 12 month cash flow. The cash multiple utilized is derived by taking into consideration market and asset specific factors including, but not limited to: location; life cycle or maturity of the asset; projected growth profile; precedent transactions; and comparable public market trading multiples.
- 4) Preferred equity investment in PAA valued using the “if converted” method (including accrued PIK units). As of quarter end, PAA was trading below the conversion price so the valuation is held at the \$26.25/unit grant price. Additionally, PAA announced it will be paying a quarterly cash distribution of \$0.6152/unit to all Series A preferred unitholders.
- 5) Staghorn II and III remaining value includes mineral acreage and ORRI’s, deferred payments and net working capital.
- 6) Moda is valued based on the terms of the VMH assets sale agreement.



EnCap Energy Capital Fund X

Portfolio Companies

- 7) Advance is valued based on the expected indemnity holdbacks per the terms of their sale agreement plus NWC.
- 8) PetroLegacy is valued as follows:
 - a. Ovintiv Inc. (NYSE: OVV) remaining common units (5.277 MM) valued at the block trade share price of \$44.00.
 - b. Expected indemnity holdback per the terms of the sale agreement
- 9) Novo is valued based on the expected indemnity holdbacks per the terms of their sale agreement and the remaining mineral acreage and ORRI's valued using a cash flow multiple of actual trailing 12 month cash flow.



Verdun Oil Company LLC

Company Description

Verdun Oil Company LLC is a privately-held, Houston-based oil and gas company that will pursue the identification, acquisition, and development of oil and gas assets in the United States. The company is led by Tim Nein (President), Daniel Savitz (CFO), Mark Stephenson (Geology), Will Rider (Land/Legal), and Martin Perez (Engineering). Mr. Nein most recently served as the General Manager of Hilcorp Energy's ("Hilcorp") Utica asset, where he led all development functions. Mr. Nein, Mr. Savitz, and Mr. Rider formerly worked together in the New Ventures Group at Hilcorp, where they played a meaningful role in evaluating, capturing, and developing substantial positions across premier basins in the United States. Most notably, this team was involved in or an integral part of the evaluation, capture, and ultimate sale of Hilcorp's 141,000 net acre Eagle Ford position to Marathon Oil Corporation (NYSE: MRO) in June 2011 for \$3.5 billion. Verdun will implement an acquire and develop strategy with a focus on partially de-risked, statistically proven oil-weighted properties located in South and West Texas. The team will concentrate primarily on making acquisitions with a steady production base in areas with the highest quality rock and a sizeable inventory of repeatable development opportunities located in an industry-friendly environment.

Transaction Summary

In December 2015, Fund X committed \$247.5 million to Verdun and management committed \$2.5 million, providing a total equity commitment of \$250.0 million. The investment is structured in the form of common equity, with Fund X receiving 99% of distributed cash until an 8% IRR and 1.0x ROI is earned; thereafter, distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

In August 2016, Fund X committed \$190.0 million to PayRock II and management committed \$10.0 million, providing a total equity commitment of \$200.0 million. The investment is structured in the form of common equity, with Fund X receiving 95% of distributed cash until an 8% IRR and 1.0x ROI is earned; thereafter, distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

In December 2019, EnCap closed on the consolidation of PayRock II's Eagle Ford upstream assets under the management of Verdun. The assets consist of ~11,500 net acres in La Salle and McMullen County of the Eagle Ford trend. PayRock II had drilled and completed three Lower Eagle Ford wells in order to delineate and prove up the leasehold position. The combined assets have an unfunded equity commitment of \$108.9 million which includes the release of \$121.6 million of PayRock II's remaining commitment.

PayRock II Holdings, LLC ("PayRock II") was a privately held, Oklahoma City based independent oil and gas company focused on the acquisition and exploitation of assets within the Anadarko Basin. PayRock II was led by Rick Kirby (CEO), Steve Henley (VP Operations), and Chad Ford (VP Land). EnCap first partnered with PayRock in November 2012 in PayRock I and, through Q2 2016, had invested \$135 million in equity to amass ~61,000 net acres in the core of the STACK play in Kingfisher, Canadian, and Blaine counties, Oklahoma, drilled 35 operated wells, and participated in over 65 non-operated wells. On August 1, 2016, PayRock I closed on the sale of their 61,000 net acre position and ~9,000 Boe/d of production to Marathon Oil Corporation (NYSE: MRO) for an all-cash consideration of \$887.5 million. Prior to forming PayRock, the team worked together at SandRidge and was involved in the company's initial entry into the Mississippi play where they were responsible for drilling over 250 wells in the area.

Post Investment Activity

In October 2016, Verdun closed on the acquisition of 9,286 net acres and 38 horizontal Eagle Ford wells, collectively producing ~1,785 Boe/d (57% oil, 78% liquids), from Noble Energy, Inc. (NYSE: NBL) for \$68.2 million. The acreage was 54% HBP and located primarily in La Salle and Dimmit Counties, Texas. The \$68.2 million purchase price was underpinned by \$52.6 million of proved undeveloped value. The primary upside identified by management was the increased resource recovery and return potential of the Eagle Ford through the application of modern completions.

Quarterly Review

As of December 31, 2023



In May 2017, Verdun closed on a second Eagle Ford acquisition from Noble Energy including ~1,900 net acres, 573 Boe/d (78% oil) of current production, and approximately \$20 million of PDP PV-10 for a \$52.0 million upfront cash payment plus a \$12.0 million contingency payment if WTI averages at or above \$55.00/bbl over three months in the next 18 months. The acreage was 100% HBP and located in the core of the Eagle Ford trend in DeWitt and Gonzales Counties, Texas. Pro forma for this acquisition, Verdun had accumulated approximately 12,700 net acres across the Eagle Ford.

Subsequently, in September 2017, Verdun closed on an Eagle Ford acquisition from BHP including 2,641 net acres, 1,230 Boe/d of current production, and approximately \$16 million of PDP PV-10 for \$30 million. The acreage was 100% HBP and located in the core of the Eagle Ford trend in Live Oak County, Texas, offsetting Verdun's existing Lopez Ranch acreage. Pro forma for this acquisition, Verdun has amassed approximately 15,340 net acres across the Eagle Ford.

In March 2018, Verdun closed on the acquisition of ~2,200 net acres in the McMullen County oil window from BP (NYSE: BP) for \$28.0 million. The majority of the acreage is undeveloped and has a highly attractive ~82% NRI. Subsequently in April 2018, Verdun closed on the acquisition of ~5,500 net acres and ~600 Boe/d of production in Live Oak and Karnes Counties, TX for \$110.0 million from ConocoPhillips (NYSE: COP). The acreage is 100% HBP with an average 86% WI and 65% NRI and is oriented in a way that allows for long lateral development.

In October 2018, Verdun executed G&P partnership agreements with Aspen Midstream, LLC ("Aspen"), a portfolio company of EnCap Flatrock Midstream Fund III, to form Aspen Midstream Partners Holdings ("AMP") which will initially be owned 100% by Aspen and subject to Verdun's option to acquire up to 25% by July 2019. Aspen Management is engaged in commercial discussions with various third party producers and has commenced the initial design and construction of a rich/lean gas gathering and treating system, a residue gas pipeline ("AMP Intrastate Pipeline") connecting the gathering system to a gas storage and distribution hub in Katy, Texas and purchased a processing plant ("Battle Horse Plant").

In December 2019, Verdun signed a PSA to acquire PayRock II Holdings LLC, a Fund X company, for \$6.0 million. The assets included approximately 11,000 net acres in the Eagle Ford with PDP PV-10 of \$6.0 million. The acquisition was funded by a subordinated unsecured note issued by EnCap Fund X.

In Q2 2020, Verdun signed an agreement with EnCap to manage Protégé's Eagle Ford assets on behalf of Fund IX. Protégé will pay to Verdun a management fee of \$3 MM a year, with annual redeterminations going forward.

Prior to the commodity price downturn, Verdun had positioned the company to make distributions to equity holders within cash flow. Management made their first distribution in Q4 2019 and two distributions prior to suspending the program in response to low prices. In Q4 2020, after sufficiently reducing leverage, Verdun restarted their distribution program.

Recent Events

Verdun continues to develop its extensive asset base within cash flow. We expect Verdun to continue to make distributions while maintaining a modest leverage profile.

Valuation (\$000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jan-16	\$207,000	\$531,346	\$728,667	\$1,260,013	6.09x	N/A



Plains All American Pipeline, L.P. (NYSE: PAA)

Company Description

Plains All American Pipeline, L.P. (“PAA”) is a publicly-traded master limited partnership headquartered in Houston, Texas that owns and operates midstream energy infrastructure and provides logistics services for crude oil, natural gas liquids (“NGL”), natural gas, and refined products. PAA owns an extensive network of pipeline transportation, terminalling, storage, and gathering assets in key crude oil and NGL producing basins and transportation corridors, and at major market hubs in the United States and Canada. The PAA management team and EnCap have a long-standing relationship and a history of successful investments. In 1998 and 1999, EnCap Fund III invested \$49.5 million in Plains Resources through two redeemable convertible preferred offerings on which EnCap Fund III realized a 2.4x ROI. In 2001, EnCap Fund III invested \$26.6 million in PAA in exchange for a 9% interest in PAA’s general partner and 850,000 subordinated units in PAA on which EnCap Fund III realized a 6.6x ROI. Additionally, EnCap Fund V acquired 2.1% of PAA’s general partner for \$9 million, and in 2006, EnCap Fund V acquired 117,000 common units for \$5.8 million. EnCap Fund V realized a 5.0x ROI on these investments. Further, Gary Peterson, an EnCap Managing Partner and Founder, has served on the Board of PAA since EnCap Fund III’s investment in PAA’s general partner in 2001.

Transaction Summary

In January 2016, PAA management offered EnCap the lead investor role in a \$1.6 billion perpetual convertible preferred equity offering, of which EnCap Fund X and EnCap Flatrock Fund III were each allocated \$285 million (\$280 million purchase price). The proceeds will be used to fund the majority of a multi-year growth capex program that is heavily underpinned by minimum volume commitments or similar contractual support and will be focused on the most economic resource plays in North America. The preferred units will pay quarterly distributions at an annual rate of \$2.10 per unit; however, PAA has the option to pay distributions in-kind until December 31, 2017. Additionally, the units are convertible at the holders’ option into PAA common units on a one-for-one basis after two years and are convertible at PAA’s option under certain circumstances after three years. EnCap views this transaction as an excellent opportunity to invest behind one of the best management teams in the energy industry controlling the largest crude-centric MLP with a leading position in North America’s best resource plays.

Post Investment Activity

In January 2023, EnCap, EFM, and the other investors elected to exercise their one-time option to reset the annual rate to 9.375% from 8.0%. This option was negotiated in the original notes purchase agreement and will increase the annual distribution from \$2.10 per unit to \$2.46 per unit.

For further information about Plains All American please reference publicly disclosed information found at the Company website: <http://www.plainsallamerican.com/>

Recent Events

PAA will continue to make quarterly cash dividends (\$7.8 million net to Fund X) on Fund X’s preferred equity investment.

Valuation (\$000’s)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jan-16	\$280,000	\$156,475	\$340,613	\$497,088	1.78x	N/A



OGX Holding IV, LLC-Quinn Ranch

Company Description

OGX IV is a privately held Midland based independent oil and gas company focused on acquiring and exploiting oil and gas properties in the Permian Basin. OGX was founded by Richard Coats and Frank Agar in October 2002. Both individuals each have over 25 years of experience as independent owners and operators of oil and gas properties in the Permian Basin. The team initially partnered with EnCap Fund V in 2006 and subsequently sold the majority of its assets to Legend Natural Gas III in March 2008 for approximately \$173.5 million in cash, providing a 2.8x ROI and 92% IRR on Fund V's \$32.2 million investment. The team then partnered with EnCap Fund VII in 2008 and pursued a drill bit growth strategy in the Permian Basin. OGX II was substantially realized through three separate transactions, generating \$331.7 million in cash for Fund VII or a 3.3x realized ROI to date on \$101.0 million invested. OGX II has additional stub value in minor unrealized assets which will enhance the overall returns to Fund VII. OGX III was founded in January 2015 and has invested substantially all of its \$500.0 million total commitment capturing an attractive minerals portfolio in the core of the Midland and Delaware basins, which remains unrealized. Given OGX III's limited capacity for incremental investment, OGX IV was formed in August 2016 to pursue additional opportunities. The OGX IV management team is led by the same management team as OGX III, which includes the OGX founders, Richard Coats and Frank Agar, and Austin Campbell and Brendan Fikes, two seasoned mineral acquirers with strong track records in value creation in the Permian Basin. OGX IV will maintain the same dual-track strategy of 1) acquiring mineral interests in the Midland and Delaware basins and 2) aggregating and developing unconventional exploration and production opportunities throughout the Permian Basin.

Transaction Summary

Fund X formed a limited liability company with OGX IV in August 2016, committing \$240.0 million. The management team committed \$10.0 million providing total capital committed of \$250.0 million to the company. In Q4 2017, the total equity commitment was expanded to \$500.0 million, comprised of \$480.0 million from Fund X and \$20.0 million from management. The investment takes the form of common equity with Fund X receiving 96% of the available cash flow until an 8% IRR and a 1.0x ROI is earned, and thereafter distributions are allocated on a graduated basis until higher IRR and ROI targets are met. All exploration and production assets will be held in OGX Holdings IV, LLC, while for tax purposes mineral related interests will be held in Santa Elena Minerals IV, LP (both entities collectively referred to as "OGX IV"). EnCap holds a majority position on the Board of Managers.

In June 2021, OGX IV contributed the entirety of its Permian mineral portfolio outside of Quinn Ranch (~18,400 net royalty acres) to EnCap Minerals in exchange for 16.7% ownership in the pro forma entity. OGX management was bought out of its interests in these contributed assets, and Fund X holds this equity ownership directly. OGX management retained its ownership interests in the separate entity, "OGX Holding IV, LLC-Quinn Ranch", which is legally named Morita Ranches Holdings, LLC. The investment takes the form of common equity with Fund X receiving 96% of the available cash flow until an 8% IRR and 1.0x ROI is earned, and thereafter distributed are allocated on a graduated basis until higher IRR and ROI targets are met. A subset of the former OGX management team is managing this entity with minimal overhead to maximize value from the surface and minerals of the Quinn Ranch. EnCap holds a majority position on the Board of Managers of the new go forward entity.

Post Investment Activity

In September 2017, the company agreed to acquire 50% of the mineral interests owned by the Quinn family under the Quinn Ranch in southwest Howard County for \$122.5 million. The Quinn Ranch represents one of the largest, concentrated, and undeveloped blocks in the core of the Midland Basin, allowing for efficient development with long laterals and centralized surface facilities. At the time of the transaction, the leasehold was tied up in litigation between Endeavor and Energen (Diamondback), and the deal was structured with an initial \$25 million down payment with the balance due upon resolution of the lawsuit.



ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund X

Portfolio Companies

This lawsuit was finalized in Q2 2021, and the company funded the remaining \$97.5 million due under this contract in June 2021.

In June 2019, the company agreed to acquire the remaining 50% of the mineral interests owned by the Quinn family, as well as 100% of the (11,400 surface acres), for total consideration of \$170.0 million. Currently, the company holds ~17,600 net royalty acres and the entirety of the surface across the Quinn Ranch, which Endeavor now operates.

In June 2021, OGX IV contributed all of its Permian mineral portfolio outside of the Quinn Ranch (~18,400 net royalty acres) to EnCap Minerals in exchange for 16.7% ownership in the pro forma entity.

Recent Events

In Q4 2023, EnCap signed a PSA to sell 25% of its mineral interests in the Quinn Ranch to a private buyer for \$101.5 million with the potential to generate additional earn-out payments through year-end 2025. The \$406 million 8/8ths sales price translates to \$22,500/NRA. The transaction closed in January 2024, and EnCap received ~\$95 million net to Fund X's 96% ownership. EnCap believes this transaction represented an attractive way to further de-risk the investment for Fund X at a solid valuation while retaining significant upside in the mineral interests and 100% of the surface interests.

Endeavor, which was recently acquired by Diamondback for \$26 billion, recently brought 12 horizontal wells online in a half section (~13% NRI post sell-down) targeting the Jo Mill, Lower Spraberry, Dean, Wolfcamp A, and Wolfcamp B horizons.

Valuation (\$000's)

The Unrealized Value is based on a cash flow multiple of actual trailing 12 month cash flow.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jun-16	\$257,576	\$24,425	\$389,953	\$414,378	1.61x	N/A



EnCap Minerals, LLC

Company Description

EnCap Minerals, LLC (“EnCap Minerals”) was formed in June 2021 with the consolidation of core Permian mineral assets from multiple EnCap portfolio companies held in Fund IX (OGX III), Fund X (Fortis I, Fortis II, Fortis III, OGX IV), and Fund XI (OGX V, Pegasus I). Each entity received equity ownership in the new EnCap Minerals platform in exchange for the assets contributed, resulting in Fund IX, Fund X, and Fund XI owning 9.8%, 52.5%, and 36.6% of EnCap Minerals, respectively. The balance of the ownership, 1.1%, rests with the current management investors in Pegasus I. EnCap Minerals holds a premier portfolio of 125,000 core net royalty acres in the Permian Basin (60% Delaware Basin and 40% Midland Basin) with diversified and highly undeveloped assets positioned for future organic growth with no capital requirements.

EnCap Minerals is managed by the Pegasus team pursuant to a Management Services Agreement. Overhead is allocated to EnCap Minerals and Pegasus II using a methodical approach that is reviewed and approved by EnCap. As part of the consolidation, EnCap formally separated ties with the Fortis and OGX/Santa Elena teams, but several management members were retained to bolster the go-forward management team. Overall, we believe the consolidation of assets under EnCap Minerals will meaningfully reduce overhead, enhance distributions, and provide scale that will create differentiated opportunities for value creation and an ultimate monetization. EnCap Minerals will closely monitor the markets for a potential IPO, outright sale, or additional consolidation opportunities with other large private mineral interests using equity consideration.

Transaction Summary

In June 2021, EnCap Minerals was formed with the consolidation of core Permian interests. The existing remaining commitments of the Fund IX (OGX III) and Fund X (Fortis I, Fortis II, Fortis III, OGX IV) entities involved in the consolidation were carried over to EnCap Minerals to provide for additional future flexibility should a considerable deal arise requiring a cash component (subject to Advisory Board approval given the Funds involved).

The management interests of Fortis III, OGX III, OGX IV, and OGX V were fully repurchased prior to the consummation of EnCap Minerals, and the EnCap Funds hold the common equity interests directly related to these investments. The original management incentive structures remain for Fortis I, Fortis II, and Pegasus I, which are subject to an 8% IRR on original invested capital. Thereafter distributions are allocated on a graduated basis as certain ROI targets are met. EnCap holds a majority position on the Board of Managers for EnCap Minerals.

Recent Events

The EnCap Minerals portfolio has realized significant organic growth through ongoing and increased industry activity across its position in the Permian Basin. Nearly half of all Permian rigs have been running on EnCap Minerals’ position over the past few quarters. As such, we anticipate continued production growth in 2024 based on current activity levels.

In 4Q 2023, EnCap Minerals made ~\$127 million in distributions (\$46 million to Fund XI, \$66 million to Fund X, and \$12 million to Fund IX). For FY 2023, EnCap Minerals generated approximately \$480 million in cash flow. The company will continue to make monthly distributions on an ongoing basis.

Valuation (\$000’s)

The Unrealized Value is based on a cash flow multiple of actual trailing 12 month cash flow.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jun-16	\$625,076	\$683,590	\$1,521,884	\$2,205,474	3.53x	N/A



Ameredev II, LLC (“Ameredev II”)

Company Description

Ameredev II, LLC is a privately-held, Austin-based independent oil and gas company focused on the identification, acquisition and development of oil and gas assets within the U.S. The Ameredev II management team is led by Parker Reese (President), Floyd Hammond (VP-Operations), Eric Rhoden (VP-Geology), Noah Bramble (Land Manager), and Ron Zboril (CFO). Mr. Reese was formerly with Three Rivers Operating Co., where he played an active role in evaluating, capturing and developing their Permian position which, through accretive acquisitions and strategic sales, ultimately resulted in a ~3.0x ROI for its investors. Previously, Mr. Reese was employed by Cimarex Energy and ConocoPhillips where he gained valuable experience in the Delaware Basin, Anadarko Basin and Gulf Coast. The team shares a similar mindset with EnCap relative to risk management, capital allocation and opportunity capture. The team initially partnered with EnCap Fund X in May 2015 through Ameredev I and subsequently sold the majority of its assets to Callon Petroleum (“Callon”) in December 2016 for \$615.0 million in cash, providing a 2.7x ROI at closing on Fund X’s \$168.3 million invested.

Transaction Summary

In February 2017, Fund X committed \$388.0 million and management committed \$12.0 million, providing a total equity commitment of \$400.0 million to the company. The investment is structured in the form of common equity with Fund X receiving its pro-rata percentage of distributed cash until an 8% IRR is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. In Q3 2018, the total equity commitment was increased by \$300.0 million, comprised of \$297.0 million from Fund X and \$3.0 million from management, providing a total equity commitment of \$700.0 million to the company.

Post Investment Activity

Shortly after inception, management identified the over-pressured oil window in the Northern Delaware Basin in Southeast Lea County, New Mexico as a focus area for the company. The Ameredev team decided to focus on this area of the Delaware because: (i) the team felt as if they had a strong understanding of the subsurface risk given that this area possesses similar geologic characteristics to the position they had built to the South in Ameredev I, (ii) the industry as a whole was continuing to delineate and move the play boundaries of the Delaware in this area to the East which provided a decent amount of well control to help give the team confidence in the overall reservoir quality, and (iii) both the regulatory environment in New Mexico and the early stage of overall development in the area had resulted in limited activity/focus by other operators which provided numerous potential entry opportunities that did not exist in other areas of the Delaware Basin.

In 1H 2017, Ameredev II acquired ~11,500 net acres in the Northern Delaware Basin in Southeast Lea County, NM through a mixture of grassroots leasing and non-marketed deals. Ameredev II previously owned ~2,000 net acres in Loving County, Texas where the team had drilled two highly economic Wolfcamp wells. Given the stranded nature of the tracts, and in an effort to focus its full efforts on Lea County development, management solicited bids for the acreage. In Q3 2018, Ameredev sold the remainder of its Loving County acreage. Proceeds from the sale were used to pay down debt and to fund future Lea County development.

Altogether, Ameredev II has acquired ~33,700 net acres to date in the Northern Delaware Basin at an attractive cost basis through over 40 separate transactions and grassroots leasing efforts. This acreage is largely contiguous with extremely favorable lease terms including high NRIs, long-term leases, and limited near-term drilling obligations. Offset operators such as ConocoPhillips, EOG, and Devon, amongst others, are actively developing in and around Ameredev II’s position and have helped delineate multiple formations through strong preliminary results.

Recent Events

During the fourth quarter of 2023, Ameredev's primary gas processing outlet experienced an operational failure, forcing the company to shut-in the majority of its production. Management has creatively worked to find alternative outlets, allowing the company to flow between 5 – 10 Mboe/d of production (~15% - 30% capacity).

Over this period, Ameredev has prioritized debt reduction, ensuring ample liquidity until the plant returns to full service early in the second quarter of 2024.

Currently, Ameredev has 13 DUCs across two DSUs, and will plan to complete these wells during the second half of 2024 following gas flow assurances.

Valuation (\$000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Mar-17	\$546,400	\$0	\$850,007	\$850,007	1.56x	N/A



Mongoose Energy Holdings, LLC

Company Description

Mongoose is a privately-held, Tulsa-based oil and gas company focused on building an acreage position in the core or low-risk extensional area of a proven basin, with an initial focus on the Delaware Basin. The team will seek to build an acreage position through small acquisitions and greenfield leasing in core areas that are overlooked and in extensional areas that it believes have the geologic characteristics required to become core areas. The company is led by a group of five executive team members comprised of key members of Samson Energy's New Ventures group, including Stephen Ferguson (CEO), Steve Widner (President / VP – Land), Kirk Harlton (VP – Geology), Kale Wallace (VP – Engineering), Ryan Heatly (VP – Operations), and Todd Coker (CFO). Each team member has garnered significant industry experience and expertise through their roles at Samson Energy as well as other large operators including Samson Resources, Conoco, ExxonMobil, Southwestern Energy, RBC, and Halliburton. Each management team member will play an integral role in Mongoose's decision making process given their highly complementary skill sets and established working relationships from their prior roles managing Samson's New Ventures group.

Transaction Summary

In April 2017, Fund X committed \$298 million to Mongoose and Management committed \$2 million, providing a total equity commitment of \$300 million. The investment is structured in the form of common equity, with Fund X receiving 99.4% of distributed cash until an 8% IRR and 1.25x ROI is earned; thereafter, distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Recent Events

Mongoose currently holds ~9,500 predominantly HBP net acres in Pecos County, Texas. Forge II (a Fund XI company) currently manages the assets through a Management Services Agreement. Forge II operated assets in the Southern Delaware Basin near Mongoose's acreage position and has a deep understanding of the area.

Valuation (\$000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Apr-17	\$136,544	\$0	\$20,899	\$20,899	0.15x	N/A



Enduring Resources IV, LLC

Company Description

Enduring Resources IV is a privately held, independent oil and gas company based in Denver, CO. The company is led by the former management team of Westport Resources, a publicly traded independent that sold to Kerr-McGee in 2004 for \$3.4 billion. Additionally, management is substantially the same team from Enduring I & II, which were both highly successful EnCap entities. After its formation in 2004, Enduring I built asset bases in East Texas, South Texas, and the Rockies. The company exited the majority of its assets through three major individual sales: a \$603 million sale of its East Texas properties to Cabot Oil & Gas (NYSE: COG) in August 2008; a \$1.325 billion sale of its South Texas/Eagle Ford Shale assets to a 50/50% joint venture between Talisman (NYSE: TLM) and Statoil (NYSE: STO) in December 2010; and a \$43 million sale of its East Texas Robertson County assets in February 2011. Enduring I generated a 41% IRR and a 2.5x ROI on \$162 million invested for Fund V and a 333% IRR and a 2.3x ROI on \$42 million invested for Fund VII. Following its inception in 2011, Enduring II pursued multiple projects in West Texas and the Rockies but ultimately focused its efforts on the Southern Midland Basin, where it amassed 63,000 net acres in Reagan and Irion counties and drilled over 50 operated horizontal wells with four rigs running at the time of the sale. In 2014, the company sold this asset for \$2.5 billion to an affiliate of American Energy Partners and generated a 68% IRR and 2.9x ROI for both Fund VII and Fund VIII on \$106 million and \$170 million of invested capital, respectively. The company will execute a strategy similar to the one deployed in Enduring I & II, whereby Enduring IV will build a compelling acreage position in one or more onshore U.S. basins through a combination of acquisitions, greenfield leasing, and farm-ins. The team will then rely on its proven technical and operating expertise to execute a development program utilizing optimized drilling and completion techniques to create value.

Transaction Summary

Enduring IV was formed in June 2017 with a \$1.0 billion commitment consisting of \$475 million from Fund X, \$475 million from Fund XI, and \$50 million from management. In Q1 2018, the company increased its commitment to \$1.05 billion consisting of \$475 million from Fund X, \$475 million from Fund XI, \$52.5 million from management, and \$47.5 million from an affiliate of Avista Capital Partners. The investment is structured as common equity, with EnCap receiving a proportionate share of the distributions until simple payout is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In Q1 2018, Enduring IV closed on its previously announced acquisition of WPX Energy, Inc.'s (NYSE: WPX) San Juan Basin oil assets for \$700 million that was substantially underpinned by PDP value. The acquired assets encompass ~93,000 net acres in the prolific core of the oil window with ~22.0 Mboe/d of production (74% liquids). Enduring IV will look to develop its inventory of highly economic locations with modern completions to drive value.

After initiating development in July 2018, the company experienced significant operational issues and delays related to the required infrastructure build-out, which led to cost overruns and mixed results on its first series of Mancos oil horizontal wells. In response, management slowed down its development pace and overhauled its field operations team and D&C protocols. However, this delay in development also resulted in increased midstream obligations.

In early 2020, Enduring IV halted all development plans (with 6 DUCs outstanding) as commodity prices declined. The company focused its efforts on reducing operating expenses, cutting overhead costs, and paying down debt. The company successfully paid down considerable debt over the course of 2020 and 2021 and benefitted significantly from its implemented cost reductions.



Recent Events

In December 2023, Enduring IV acquired DJR Energy, a private San Juan Basin operator, in a sign and close merger transaction. Per the terms of the agreement, legacy Enduring IV investors own 80% of the pro forma entity, while the acquired party owns 20% of the pro forma entity. EnCap retained Board control following close. As part of the transaction, legacy Enduring and DJR shareholders invested cash into the business to properly capitalize the company for continued growth (\$27 million net to each of Fund X and Fund XI).

This transaction adds considerable production, cash flow, and core, oil-weighted inventory that strengthens the outlook for all investors. The transaction is also accretive to cash flow and inventory metrics for legacy Enduring IV investors. On a combined basis, the company is producing ~40 MBoe/d across ~560,000 net acres in the San Juan Basin. Longer term, we believe this acquisition will make Enduring IV a more attractive exit candidate due to the significant scale of the business and its runway of attractive drilling inventory.

Enduring IV plans to run a one rig program in 2024 while maintaining a modest reinvestment rate. The current capital plan is expected to deliver meaningful production and cash flow growth year-over-year. We expect that the company will be in a position to reinstate distributions from cash flow in 2025.

Valuation (\$000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jun-17	\$298,571	\$16,511	\$324,107	\$340,618	1.14x	N/A



Grayson Mill Energy II, LLC

Company Description

Grayson Mill Energy II is a privately held, Houston-based independent oil and gas company focused on the development of oil and gas properties in the Williston basin. The Grayson Mill II management team is comprised of the same senior management team as Grayson Mill I. They have also added additional key personnel and support staff with a significant Bakken experience. The team is led by Eric Bayes (CEO), Blake Sullens (COO), Matt Ultis (CFO), and Dewey Gerdorn (VP-Business Development). Mr. Bayes was previously VP Operations with Oasis Petroleum (“Oasis”), where he managed the entirety of Oasis’ operations team in the Bakken, which included 16 rigs, six frac crews, and over 300 employees at its peak. While at Oasis, Mr. Bayes was being groomed to be a future leader of the company prior to deciding to pursue his own venture. Mr. Sullens was most recently Operations Manager at Alta Resources, where he played a critical role in the execution and success of the company’s Duvernay asset. He brings a unique combination of operational, engineering, and petrophysical expertise to the team. Mr. Ultis was previously CFO of Redman Management Company (GSO portfolio company) and also held various corporate planning, finance, and investor relations roles at Oasis. Mr. Gerdorn previously served as VP-Business Development at Bright Horizon Resources, where he focused on the Midcontinent and East Texas basins. Prior to Bright Horizon Resources, Mr. Gerdorn worked at PDC Energy for nineteen years, where he was part of the original team that formed PDC’s successful strategy to enter the Wattenberg and Piceance basins. Grayson Mill represents a strong, data-driven and operational team well situated to execute the company’s strategy in the Bakken.

Transaction Summary

In February 2021, Fund X posted a \$150 million deposit to secure the acquisition of Equinor’s Bakken assets. In April 2021, Fund X committed \$250 million, Fund XI committed \$500 million, and management committed \$1 million, providing a total equity commitment of \$751 million to the company. Simultaneous with the April closing, ownership across members was trued up based on commitments to the company. The investment is structured in the form of common equity with EnCap receiving 99.9% of distributed cash until an 8% IRR and 1.00x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Concurrent with the formation of Grayson Mill II, the company closed its acquisition of Equinor’s Bakken assets for \$900 million. Equinor’s Bakken assets include ~240k net acres producing ~44 MBoe/d net (67% oil), as well as an extensive crude, gas, and water gathering system that greatly enhances producer margins. At closing, the transaction was funded with \$560 million in equity, \$275 million in debt, and \$65 million in interim period cash flow. The valuation was highly compelling with over \$1 billion in hard value coverage and meaningful upside inventory remaining that was not valued to underwrite the deal. Additional upside exists in LOE reductions and refrac potential. Equinor hedged a meaningful portion of PDP volumes on behalf of Grayson Mill at PSA signing, and Equinor also provided firm crude transportation at an attractive fixed fee arrangement through YE 2022. The transaction closed in April 2021.

During Q1 2022, Grayson Mill sold non-core acreage and associated production in Montana for \$71 million to a private operator.

In Q4 2022, the company acquired EOG’s Western Bakken assets for \$125 million in cash consideration after EOG ran a marketed process. The acquired assets are substantially offset or inside existing Grayson Mill drilling units and include over 100 net locations. After netting out approximately \$50 million of PDP value, this inventory was captured at a compelling valuation (<\$1 million per location) and will further extend the deep inventory runway of the company, while also extending laterals for several of Grayson Mill’s existing drilling units.

Recent Events

Management began influencing operations after closing in April 2021 and formally brought operations in-house in August 2021. Over the course of 2021, the team primarily focused on stabilizing production and lowering operating costs, which yielded excellent results. The company also completed a significant backlog of DUCs that were inherited from the seller and commenced a re-frac program. In late 2021, Grayson Mill deployed its first operated rig, and the company added a rig in each of Q1 2022 and Q4 2022. The company is currently running a 2-rig program.

During 2024, Grayson Mill intends to continue a moderate reinvestment rate, allowing for a balance of growth, value creation, and distributions from cash flow, while maintaining modest leverage (<1.0x). In Q4 2023, Grayson Mill distributed ~\$130 million and has distributed ~\$994 million since inception. Overall, the company is very well positioned for continued success, especially in the current commodity price environment, and we expect to realize ongoing distributions from free cash flow for the foreseeable future. Additionally, the team may evaluate a sale of the business later this year.

Valuation (\$000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
April-21	\$196,420	\$308,797	\$547,860	\$856,657	4.36x	N/A



Verdun Austin Chalk JV

Company Description

The Verdun Austin Chalk Joint Venture (“Chalk JV” or the “JV”) is a joint venture agreement between EnCap Fund X and Verdun Oil Company, LLC (“Verdun”). The purpose of the Chalk JV is to use direct funding from Fund X to unlock valuable drilling economics that reside in the Verdun dry gas Austin Chalk asset base. The Austin Chalk assets present compelling economics, particularly in the current commodity price environment, however, Verdun’s focus remains on developing their Eagle Ford asset base and using the substantial associated free cash flow to make monthly distributions. The JV will allow Verdun to accelerate development of these economic locations.

Transaction Summary

The Chalk JV will be funded through a new commitment that will be made up of a reduction to the existing Verdun equity commitment. To date \$39 million has been funded to the Chalk JV and an additional \$61 million will be added to the commitment for a total of \$100 million commitment. Verdun I has \$109 million unfunded commitment, and given the very low likelihood Verdun will need any additional equity capital, a reduction of \$100 million is not anticipated to create any issue.

The JV will be structured such that Fund X funds 100% of the capital in certain Austin Chalk wells. Fund X will receive all the cash flow from the JV until it achieves an 8% rate of return, at which point Fund X will receive 80% of the remaining cash flows and Verdun Oil Company will receive 20%.

Post Investment Activity

Drilling in the Austin Chalk JV began in December of 2021 across 5 wells (Cantigny 1H, Passchendaele 1H, Cambrai 1H, Gallipoli 1H, and Tannenberg 1H). Difficult drilling conditions led to higher D&C costs than initially anticipated, though the dramatic increase in commodity prices at time of production indicated returns higher than initial underwriting.

Recent Events

During the fourth quarter the company layered on natural gas hedges and is currently restricting production on producing wells in line with hedged volumes. EnCap will look to resume full production and complete 2 DUC wells as gas prices improve.

Valuation (\$000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Dec-21	\$74,000	\$0	\$69,013	\$69,013	0.93x	N/A



Grayson Mill Energy III, LLC

Company Description

Grayson Mill Energy III is a privately held, Houston-based independent oil and gas company focused on the development of oil and gas properties in the Williston basin. The Grayson Mill III management team is comprised of the same senior management team as Grayson Mill I and Grayson Mill II. The team is led by Eric Bayes (CEO), Blake Sullens (COO), Matt Ultis (CFO), and Dewey Gerdum (VP-Business Development). Mr. Bayes was previously VP Operations with Oasis Petroleum (“Oasis”), where he managed the entirety of Oasis’ operations team in the Bakken, which included 16 rigs, six frac crews, and over 300 employees at its peak. While at Oasis, Mr. Bayes was being groomed to be a future leader of the company prior to deciding to pursue his own venture. Mr. Sullens was most recently Operations Manager at Alta Resources, where he played a critical role in the execution and success of the company’s Duvernay asset. He brings a unique combination of operational, engineering, and petrophysical expertise to the team. Mr. Ultis was previously CFO of Redman Management Company (GSO portfolio company) and also held various corporate planning, finance, and investor relations roles at Oasis. Mr. Gerdum previously served as VP-Business Development at Bright Horizon Resources, where he focused on the Midcontinent and East Texas basins. Prior to Bright Horizon Resources, Mr. Gerdum worked at PDC Energy for nineteen years, where he was part of the original team that formed PDC’s successful strategy to enter the Wattenberg and Piceance basins. Grayson Mill represents a strong, data-driven and operational team well situated to execute the company’s strategy in the Bakken.

Transaction Summary

Grayson Mill Energy III was formed in Q2 2023 in conjunction with the announced acquisition of Ovintiv’s Bakken assets for \$825 million. At signing, Fund X and Fund XI posted a ~\$41 million deposit to secure the deal. Subsequently, the company was capitalized with \$904 million of total equity commitments: (i) \$67 million Fund X, (ii) \$133 million Fund XI, (iii) \$400 million Fund XII, (iv) \$300 million co-investors, and (v) \$4 million management. Management’s initial \$4 million commitment will expand up to \$20 million as ongoing distributions are made from Grayson Mill II. Approximately \$245 million of the \$300 million in commitments from co-investors was closed in June 2023, and the balance closed in July 2023. The investment is structured in the form of common equity with investors receiving a proportionate share of the distributions until an 8% IRR and 1.00x ROI is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In Q2 2023, Grayson Mill III closed its acquisition of Ovintiv’s Bakken assets for \$825 million. Ovintiv’s Bakken assets include ~44k net acres producing ~34 MBoe/d net (80% liquids). The valuation was highly compelling with significant hard value coverage and purchased at a ~2.0x EBITDA multiple. The asset has significant upside in the form of ~200 gross / ~130 net risked development locations and refrac opportunities. EnCap believes the team is well-equipped to efficiently operate and develop its inventory, while also adding additional inventory through the company’s ongoing business development efforts.

Recent Events

Management formally brought operations in-house in Q3 2023. The team is running a 1-rig program and performing refracs in conjunction with new development. Well results to date have been in-line with initial expectations.

Grayson Mill III is maintaining a moderate reinvestment rate and has a strong balance sheet and leverage profile (<1.0x). The company expects to initiate a distribution program in the second half of 2024 from free cash flow. The team is also actively evaluating additional bolt-on opportunities and may evaluate a sale of the business later this year.

Valuation (\$000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
April-23	\$34,444	\$0	\$50,527	\$50,527	1.47x	N/A



Southland Royalty Company, LLC

Fully Realized

Company Description

Southland Royalty Company is a privately-held, Fort Worth-based independent oil and gas company focused on building an attractive asset base through an acquisition strategy focused on a variety of domestic unconventional basins. The Southland management team consists of Bob Simpson (Chairman), Keith Hutton (CEO), Vaughn Vennerberg (President), Timothy Petrus (EVP – Acquisitions) and Brent Clum (CFO). The majority of senior management has worked together for over 27 years and has substantial experience operating in numerous onshore domestic conventional and unconventional basins. This team was the core group responsible for making over \$15 billion in oil and gas acquisitions that created the basis for XTO's approximately \$41 billion sale to Exxon in 2009. Southland's strategy is to acquire producing, operated oil and gas assets in areas with multiple rich source rocks targeting a series of known productive zones with stacked pay potential and grow production and reserves through efficient management of operations as well as through development, exploitation and exploration.

Transaction Summary

In February 2015, Fund IX committed \$431.2 million, Fund X committed \$646.8 million and management committed \$22.0 million, providing a total equity commitment of \$1.1 billion to the company. The investment is structured in the form of common equity with the EnCap funds receiving 98% of distributed cash until an 8% IRR and 1.00x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

On March 31, 2015, management closed on the acquisition of Energen's San Juan Basin asset for \$395 million. The asset consists of ~205k net acres (99% HBP, 85% operated) located on the border of Colorado and New Mexico. At the time of the acquisition, Southland's purchase price was fully-underpinned by PDP value with numerous upside opportunities, several of which are economic even at depressed commodity prices.

On June 30, 2016, management closed on the acquisition of Anadarko's Green River Basin asset for \$610 million. The asset consisted of ~320k net mineral acres and ~34k net leasehold acres (99% HBP or Mineral Ownership) located in southern Wyoming. At the time of the Green River Basin acquisition, the purchase price was predominantly underpinned by PDP value with numerous upside opportunities, several of which are economic even at depressed commodity prices.

In Q4 2016, EnCap and Morningstar (entity majority owned and controlled by Southland management) completed a sell-down of ~\$132 million to reduce EnCap's overall exposure to Rockies gas. The sell-down allowed Morningstar to increase its commitment from 2% to 20%, which improves the alignment between EnCap and Southland management. The new commitment amounts are as follows: \$352 million from Fund IX, \$528 million from Fund X and \$220 million from Morningstar.

Southland filed an amended plan of reorganization during the first quarter of 2021, and the plan was approved during the second quarter of 2021. There was no impact to the Fund due to the wind-down of Chapter 11 proceedings.

Valuation (\$000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Mar-15	\$465,503	\$0	\$0	\$0	0.00x	N/A



Grenadier Energy Partners II, LLC

Fully Realized

Company Description

Grenadier II is a Houston based, privately held oil and gas company founded by the Grenadier I management team led by Pat Noyes, former President and CEO of Stroud Energy. Grenadier I was formed in April 2007 following the sale of Stroud Energy, which generated a 98% IRR and 3.1x IRR on Fund IV's \$27 million investment. In Grenadier I, management built a highly attractive, blocked-up acreage position in the Marcellus Shale consisting of approximately 16,400 net acres in Wetzel County, West Virginia which it ultimately sold to Statoil in December 2012 for total returns net to Fund VI of 1.7x ROI and 26% IRR. In Grenadier II, management is focusing on a lease-and-drill strategy in known producing onshore U.S. basins.

Transaction Summary

In August 2012, Grenadier II was formed with a \$340 million equity commitment comprised of \$200 million from EnCap Fund VIII, \$133 million from Kayne Anderson, \$6 million from management and \$1 million from a passive co-investor. The structure and economic sharing ratios are similar to the prior Grenadier structure, providing the investor group with 98.0% of the available cash until an 8% IRR and 1.25x ROI is earned; thereafter distributions will be allocated on a graduated basis until higher IRR and ROI targets are met. EnCap and Kayne Anderson have full board control with EnCap's approval required for all material board decisions.

In May 2015, EnCap Fund VIII moved \$150 million of its \$200 million commitment to EnCap Fund X to free up capital for Fund VIII and to allow Grenadier II's growth timeline to be better aligned with that of Fund X given the early stage nature of the investment.

Post-Investment Activity

After targeting a number of domestic basins, Grenadier II chose to focus on building a position in North Louisiana targeting the Cotton Valley interval and the company built a ~40,000 acre position. Grenadier II drilled and completed two science wells to test the acreage and gather core and log data; however, these initial test wells did not demonstrate economic results in the current price environment. In Q2 2017, Grenadier sold its assets in North Louisiana in order to shift capital and focus to the Permian.

In Q4 2016, Grenadier shifted its focus from North Louisiana to the Midland Basin through the successful negotiation of a farm-in arrangement with Occidental Petroleum covering ~7,000 net acres in Howard County offsetting attractive drilling results from operators including SM Energy, Surge and Sabalo.

In Q3 2017, Grenadier negotiated a deal to buy out Occidental Petroleum's interest in the Howard County JV for \$42.5 million. This transaction, combined with greenfield leasing, bolt-on acquisitions and acreage trades, has scaled Grenadier's current Howard County acreage position to ~21,000 net acres. The company initiated a delineation program in late 2017 and has drilled and completed multiple operated horizontal wells to-date in the Wolfcamp A and Lower Spraberry zones with positive early-time results. Additionally, substantial industry activity offsetting Grenadier's acreage position has demonstrated encouraging results as the play continues to be de-risked to the east. Grenadier has also participated in a number of non-operated wells on its acreage position with positive results from those wells.

In Q1 2021, Grenadier closed on the sale of ~18,000 net acres and ~9,000 boepd (75% oil), which represents substantially all its assets to Surge Energy for \$420 million of cash consideration. Surge funded a 10% cash deposit (\$42.0 million) into an escrow account which was converted into the holdback amount at closing on March 31, 2021. 50% of the holdback was released after six months, with the remaining distributed prior to YE 2021. Estimated proceeds from the sale, inclusive of the holdback and after accounting for debt and other miscellaneous purchase price adjustments, will generate a 1.4x cash-on-cash ROI net to Fund X.

Valuation (\$000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
May-15	\$100,778	\$145,606	\$0	\$145,606	1.44x	8.6%



American Resource Development LLC (“Ameredev”)

Fully Realized

Company Description

Ameredev is a privately-held, Austin-based independent oil and gas company focused on the identification, acquisition and development of oil and gas assets in the Permian Basin. The Ameredev management team is led by Parker Reese (President), Floyd Hammond (VP-Operations), Eric Rhoden (VP-Geology), Noah Bramble (Land Manager), and Ron Zboril (CFO). Mr. Reese was formerly with Three Rivers Operating Co., where he played an active role in evaluating, capturing and developing their Permian position which, through accretive acquisitions and strategic sales, ultimately resulted in a ~3.0x ROI for its investors. Previously, Mr. Reese was employed by Cimarex Energy and ConocoPhillips where he gained valuable experience in the Delaware Basin, Anadarko Basin and Gulf Coast. The team shares a similar mindset with EnCap relative to risk management, capital allocation and opportunity capture. Ameredev will implement an acquire and develop strategy with a focus in the Permian Basin

Transaction Summary

In May 2015, Fund X committed \$247.5 million and management committed \$2.5 million, providing a total equity commitment of \$250.0 million to the company. The investment is structured in the form of common equity with Fund X receiving 99% of distributed cash until an 8% IRR is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Shortly after inception, management identified the Delaware Basin as a focus area due to its strong geologic merits, stacked pay potential, infancy of play compared to the Midland Basin and the team’s historical operational experience in the area. In September 2015, management began PSA negotiations to acquire 3,128 net Wolfcamp acres in Ward County from a distressed seller. This acreage was located in the core of the Delaware Basin, targeting primarily the Wolfcamp A (with potential upside in four additional zones) and included a low pressure gathering and processing system serving the asset. After a drawn-out PSA negotiation, the acquisition ultimately closed in May 2016 for a purchase price of \$86.0 million (\$49.0 million less than initially agreed to amount).

Though the competitive landscape in the Delaware Basin increased significantly post-closing of their initial acquisition, management was able to successfully bolt-on additional offset acreage, primarily through greenfield leasing activities, ultimately amassing 15,413 net Wolfcamp acres and 2,116 net royalty acres (normalized to a 12.5% royalty burden) in Ward and Pecos Counties, Texas.

On December 13, 2016, Callon Petroleum (“Callon”) publicly announced the acquisition of Ameredev for \$615.0 million in cash, implying a dollar per acre purchase price of \$33,672/net Wolfcamp acre after accounting for PDP value, assuming \$40,000 per flowing Boe/d (based on net daily production of ~1,945 Boe/d) and \$18.4 million for gas gathering, infrastructure and saltwater disposal wells and facilities. After escrow release, and after accounting for debt and other miscellaneous purchase price adjustments, Ameredev received \$588.2 million of cash proceeds from the sale of the company’s assets to Callon, resulting in distributions to Fund X of \$487.5 million.

In Q1 2020, Ameredev closed on the sale of substantially all of its remaining ORRI and mineral assets not included in the Callon sale (\$21.6 million net to Fund X).

Valuation (\$000’s)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
May-15	\$168,300	\$514,432	\$0	\$514,432	3.06x	273.2%



Talon Oil & Gas III LLC

Fully Realized

Company Description

Talon III is a privately held, Dallas-based independent oil and gas company formed by a team of oil and gas professionals led by Grant Henderson. The team initially partnered with EnCap Fund VI in January 2007 and pursued an acquire-and-exploit strategy focused on proved reserves with identifiable upside, principally in the Barnett Shale and Texas Panhandle. Subsequently, Talon I sold its Barnett Shale and Texas Panhandle assets to EnerVest and Devon, respectively, providing EnCap Fund VI with a 66% IRR and 2.7x ROI on its \$136 million investment in the properties. The team subsequently partnered with EnCap Fund VIII in December 2010 with the goal of replicating Talon I's acquire-and-exploit strategy/success; however, it became apparent after more than a year of screening acquisitions that the company needed the ability to also pursue lease-and-drill assets. This led to a merger with Elephant Oil & Gas, an organization with the experience and know-how to source and capture resource play opportunities. The company subsequently established a position in three emerging resource plays, the East Texas Eagle Ford, the Cline Shale and the North Texas Caddo. Talon II's only remaining asset is a non-operated joint venture with EnCap-backed Venado Oil & Gas that requires minimal oversight. Talon II further supplemented its team in order to pursue new opportunities, and EnCap decided to provide the team with a new commitment via Talon III out of Fund X in order to (i) more adequately capitalize the team to pursue larger, strategic acquisitions and (ii) better align the timeline of future assets with the rest of the fund in which they will be housed.

Talon III management team is comprised of key individuals from Talon I and II, including Grant Henderson, Chris Jackson and Elephant Oil & Gas co-founders Bradley Williams and Nick Varel along with three additional team members that were not a part of Talon I and II (Tom Grace – Managing Partner, Ops. & Finance, Kevin Walsh – EVP - Engineering and Kevin Schepel – EVP - Geoscience & Technology). Talon III will target stacked-pay basins with both conventional and unconventional development potential and a diverse hydrocarbon stream.

Transaction Summary

In May 2015, Talon III was formed with a \$300 million total equity commitment comprised of \$281 million from Fund X, \$16 million from co-investors and \$3 million from the management team. The investment is structured in the form of common equity with the investor group receiving 99% of the available cash flow until an 8% IRR is earned; thereafter, distributions are allocated on a graduated basis as IRR targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In Q4 2016, Talon III exercised an option to buy-in to ~1,400 net acres in Lea & Eddy Counties, New Mexico from Black Mountain Oil & Gas for ~\$11 million. The option was negotiated in 2015 in exchange for the company providing leasing opportunities to Black Mountain as Talon III sought out acquire-and-exploit opportunities in other areas.

On March 18, 2017, Talon III and NGP-backed Black Mountain Oil & Gas signed a PSA with Marathon Oil to sell ~21,000 net acres and associated production in the northern Delaware Basin for \$700 million in an all-cash transaction, with ~\$75 million of value allocated to Talon III's acreage. The transaction closed on June 1, 2017. In addition to the \$51 million of distributions at close, Fund X received additional proceeds of ~\$4 million related to holdbacks for ~\$55 million of total distributions, which equates to a 4.0x ROI on Fund X's total investment in Talon III of \$13.9 million.

Valuation (\$000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
May-15	\$13,910	\$57,640	\$0	\$57,640	4.14x	243.5%



MODA Midstream LLC

Substantially Realized

Company Description

Moda Midstream (“Moda”) is a privately-held, Houston, Texas-based midstream company led primarily by the former management team of Oiltanking Partners, L.P. (“Oiltanking”) and other industry veterans, including Jon Ackerman, Bo McCall and Javier del Olmo. In early 2018, Ken Owen, the former CEO, decided to retire as CEO and was replaced by Bo McCall. Moda Midstream is focused on becoming the crude oil logistics provider of choice for an expanding, diversified customer base in North America and the surrounding geographic area. Potential customers for Moda’s downstream-focused midstream distribution system include major diversified energy companies, petrochemical companies, waterborne markets and other pipeline distribution systems.

Transaction Summary

In March 2015, EFM III committed \$445.5 million to Moda. Combined with a group of EFM Co-Investors’ (including EnCap Energy Capital Fund X) commitment of \$297.0 million (together with EFM III, the “Investor Group”) and management’s commitment of \$5.6 million, the company had a total equity commitment of \$748.1 million. In conjunction with the Ingleside Energy Center acquisition in Q3 2018, the commitment to Moda Midstream was expanded from \$748.1 million to \$1.9 billion from the following investors:

- EFM III: \$445.5 million
- EFM IV: \$487.5 million
- EFM Co-Investors: \$815.1 million
- EnCap Energy Capital Fund X: \$124.9 million
- Management: \$14.2 million

The investment is structured in the form of common equity, with the Investor Group receiving ~99.2% of distributed cash until an 8% IRR and 1.0x ROI is earned; thereafter, distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EFM holds a majority position on the Board of Managers.

Post Investment Activity

Moda finalized a terminal opportunity with its first joint venture partner in Q1 2016 to develop a crude oil and clean products hub in Houston, Vopak Moda Houston (“VMH”), with plans to include storage, multiple vessel berths and pipeline connectivity. During Q3 2016, a second joint venture terminal opportunity was created with a new partner focused on St. James, Louisiana, Ergon Moda St. James (“EMSJ”).

In September 2018, Moda closed on the acquisition of the Ingleside Energy Center (“IEC”) and certain crude and LPG infrastructure from Occidental Petroleum Corporation (NYSE: OXY). Simultaneous to Moda’s acquisition of the Ingleside Energy Center, Lotus closed on the acquisition of the Centurion and SENM gathering systems from OXY for a combined purchase price of \$2.6 billion.

Ingleside was located near the mouth of the Corpus Christi Ship Channel with minimal transit times to the Gulf of Mexico. The terminal linked the Permian and Eagle Ford through multiple long-haul crude pipelines. IEC was designed to handle a wide range of vessels, including very large crude carriers (“VLCCs”), at high loading rates to maximize shipping economics for its customers. IEC had approximately 2.1 million barrels of storage and three deep-water berths for crude oil at acquisition. Since the acquisition, Moda constructed and placed in-service an additional ~13 MMBbls of contracted storage as part of the Phase I – IV buildout bringing total capacity to ~15 MMBbls.

Moda entered into definitive commercial agreements with two investment grade counterparties at its VMH joint venture to provide ammonia storage services and reached FID on the project in mid-2019. The buildout of the facilities is supported by 15-year contracts.



In Q2 2019, Moda entered into definitive commercial agreements with a large, investment grade counterparty to construct infrastructure to transport and store pressurized gas at its VMH joint venture. The proposed buildout will consist of a rail spur, ~14,000 barrels of pressurized gas storage and associated infrastructure. Developing the gas opportunity significantly enhances the development of a terminalling footprint at VMH.

On October 12, 2021, Moda closed on the sale of IEC and other select assets to Enbridge (NYSE: ENB) for a total consideration of \$3.15 billion including \$3.0 billion in cash at close with the remaining \$150.0 million received via three volume-based earnouts that were achieved over the following 13-month period. Following receipt of the earnout, total realized proceeds were approximately \$626.1 million, net to EFM III and approximately \$685.0 million, net to EFM IV. The sale ultimately resulted in an approximately 18% IRR and 1.6x ROI on an aggregate invested capital of approximately \$1.6 billion. Moda retains its 50% interest in VMH, which EFM and Moda view as an exciting platform for future growth.

Recent Events

During the quarter, Moda announced the sale of its' 50% interest in the VMH joint venture to Exolum, which subsequently closed on 1/11/24. VMH was Moda's final remaining asset, and upon transaction close, the aggregate Moda investment resulted in total proceeds of ~\$2.9 billion and gross returns of 1.7x ROI and 20% IRR.

Valuation (\$000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jun-15	\$112,393	\$175,473	\$7,279	\$182,752	1.63x	17.1%



Staghorn Petroleum LLC

Substantially Realized

Company Description

Staghorn Petroleum (“Staghorn II”) is a privately-held, Tulsa-based oil and gas company focused on the pursuit of sizeable, high-growth and/or emerging plays through a combination of (i) producing and non-producing property acquisitions, (ii) grass-roots leasing and (iii) farm-ins or joint ventures. The Staghorn II executive management team consists of Frank Eby (Chairman), James Royal (CEO), Peter Vail (CFO), Ken March (VP of Geology), Jeff Frederick (VP of Asset Engineering) and Richard Eby (VP of Land & Business Development). Each team member has garnered significant industry experience and contacts from past roles at companies including Newfield Exploration, Apache Corporation and Staghorn Energy, LLC (“Staghorn I”). EnCap has known Mr. Eby for over a decade and formalized its partnership with him in 2007 via a \$9.3MM equity investment in Staghorn I from Fund VI for a 25% ownership in the company. To date, Fund VI has realized a 2.6x cash-on-cash return on its investment in Staghorn I. Mr. Eby has been able to generate significant value for himself and his shareholders across multiple hydrocarbon price cycles through a strategy of assembling, exploiting and selling E&P assets.

Transaction Summary

In September 2015, Fund X committed \$291 million alongside a family and friends’ commitment of \$3 million and a \$6 million commitment from management for a total initial equity commitment of \$300 million to Staghorn Petroleum. The investment is structured in the form of common equity with Fund X receiving 97% of distributed cash until an 8% IRR and 1.25x ROI is achieved, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

On March 21, 2017, Staghorn II, Fund VIII-backed Dorado and Fund VI-backed Staghorn I closed on the sale of a combined ~48k net acres and associated production located on the eastern side of the Oklahoma STACK play in Kingfisher/Garfield/Major counties to Apollo-backed Chisolm Oil and Gas Operating, LLC (formerly known as Zenergy Inc.) for \$625 million of cash consideration. This transaction provided Fund X with \$373 million of total distributions, which implies a 2.3x cash-on-cash ROI (assuming no value given to Staghorn II’s retained assets mentioned below) on Fund X’s total investment in Staghorn II of \$165 million. Additionally, the partial sale of certain Dorado and Staghorn I assets via this transaction allowed Fund VIII and Fund VI to receive total distributions of \$121 million and \$1.5 million, respectively.

Staghorn II continues to own ~38k net acres located on the western side of the Oklahoma STACK play predominantly in Woodward, Major, Blaine and Dewey counties, as well as ~16k net mineral acres across the broader STACK play. Following the formation of Staghorn Petroleum II, LLC (“Staghorn III”), Staghorn II and Staghorn III entered into a mutually-beneficial joint venture that allows management to continue creating value for the western STACK assets held by Staghorn II, while also adding to that position in Staghorn III.

In Q4 2019, EnCap and JP Morgan sold the working interest assets held in Staghorn II & Staghorn III to management for ~\$24mm (~\$22mm net to EnCap). The transaction closed in January, and Fund X received net proceeds to Staghorn II of \$5.7 million. Fund X retained an undivided 74% interest in the minerals owned by Staghorn II. Going forward, we intend to monitor development activity within our ORRI position and look to opportunistically exit the investment when market conditions justify doing so.

Valuation (\$000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Oct-15	\$164,900	\$389,352	\$4,208	\$393,560	2.39x	154.9%



Felix Energy Holdings II, LLC

Fully Realized

Company Description

Felix II is a privately-held, Denver-based independent oil and gas company focused on the identification, acquisition and exploration of liquids-rich resource plays in various U.S. basins. Felix is led by Skye Callantine (CEO), Craig Willenborg (COO), Bill Arnold (VP-Operations), Michael Horton (VP-Land) and John McCready (CFO). Mr. Callantine was formerly an executive with Chesapeake Energy and was primarily responsible for evaluating, capturing and developing Chesapeake's Eagle Ford, Woodbine and Haynesville Shale positions. While at Chesapeake, Mr. Callantine built and developed Chesapeake's Eagle Ford Shale position from a legacy lease position to over 700,000 net acres and 800 producing horizontal wells. EnCap first partnered with Felix in April 2013 in Felix I and, through Q4 2015, had invested \$390 million in equity to: 1) amass 80,000 net acres in the core of the STACK play in Kingfisher, Canadian and Blaine counties, OK, 2) drill wells, 3) develop infrastructure, and 4) purchase mineral and overriding royalty interests in the STACK play. On December 6th, 2015, Felix signed a purchase and sale agreement with Devon ("DEVN") to sell the company's upstream assets for total consideration of \$1.9 billion.

Transaction Summary

In September 2015, Fund X committed \$477.2 million, family and friends of management committed \$7.8 million and the management team committed \$15.0 million, providing a total initial equity commitment of \$500.0 million to the company. Subsequent adjustments to the final commitment related to changes in management and family and friends investors resulted in a final Fund X commitment of \$477.0 million. The investment is structured in the form of common equity with the Investor Group receiving 95.40% of distributed cash until an 8% IRR and 1.0x ROI is achieved, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In June 2016, Felix II acquired 36,456 net acres in Winkler and Ward counties for \$220.0 million. The position represents a significant foothold in a highly sought after basin that is prospective for multiple formations and has favorable lease terms. Since closing the acquisition in June 2016, the Felix team has actively pursued bolt-on acquisitions to increase scale, further high-grade the acreage position, and increase the number of locations suitable for longer lateral development.

Following the initial acquisition, Felix II amassed ~58,900 net acres primarily in Winkler and Ward counties, Texas. Felix II began a drilling program in early July 2016 and has drilled over 100 wells to-date across six different intervals (Upper Wolfcamp A, Lower Wolfcamp A, Upper Wolfcamp B, Lower Wolfcamp B, 3rd Bone Spring Sand, and 3rd Bone Spring Shale). The company also pursued value-added projects, including the formation of Felix Water, LLC, a subsidiary of Felix that provides water supply and disposal services, as well as its own oil gathering system.

On December 16, 2019, Felix signed a PSA to sell 100% of the company's upstream assets to WPX Energy ("WPX") for total consideration of \$2.5 billion. The purchase price consisted of \$900.0 million in cash and 152.96 million shares of WPX common stock (~26.6% of the outstanding shares) and closed on March 6, 2020. Per the PSA, 1/3 of the common shares were not subject to lock-up while the remaining shares are locked-up for 180 days post-closing. Felix II also has the right to nominate two board representatives for as long as ownership exceeds 20% and one representative above 10% ownership. In addition to the upstream sale, Felix II sold 100% of their midstream assets to Plains All American for \$305.0 million.

On January 7, 2021, WPX completed a merger of equals with Devon Energy. At closing, Felix II owned ~12% of the outstanding shares of the pro forma business, and EnCap retained one board seat.

On January 26, 2021, Felix II signed an agreement to sell its water business for \$300 million to an undisclosed buyer. The transaction closed in March. On February 22, 2021 EnCap sold 26,326,096 freely

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tradeable Devon shares resulting in a distribution of \$554 million to Fund X investors. This sale equated to one third of total shares held by Felix II. By Q4 2022, EnCap sold all remaining Devon shares resulting in a total ROI of 7.9x and a 46.3% IRR.

Valuation (\$000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Nov-15	\$335,323	\$2,637,196	\$0	\$2,637,196	7.86x	46.3%



Raisa Energy II, LLC

Fully Realized

Company Description

Raisa II is a privately held, Denver-based independent oil and gas company focused on building an attractive non-operated asset base through acquiring small non-operated working interests and mineral interests in the core of de-risked basins that demonstrate the most economic drilling opportunities in the country. Raisa's initial focus was on the DJ Basin, the SCOOP/STACK, and the Bakken, and the team has since expanded to the Delaware Basin. The Raisa management team consists of Luis Rodriguez (CEO), Casey Harless (VP – Land), Jeremy Cook (CFO), and Ayman Kaheel (VP – Data Analytics). Rodriguez formed his first non-operated E&P venture, Raisa Energy ("Raisa I"), in March 2015 and subsequently recruited the additional management team members to build out the team. Casey Harless was highly involved at Raisa I on a contract basis, sourcing substantially all of the acreage acquisitions. Jeremy Cook and Ayman Kaheel joined the management team shortly after closing the equity commitment.

Raisa's strategy is focused on expediently and economically converting small blocks of core undeveloped acreage into production many times over. The team is concentrated on acquiring and developing small non-operated working interests in the core of de-risked basins that demonstrate the most economic drilling opportunities in the country. The Raisa team performs intense geologic and engineering analysis to identify the best sections under the best and most efficient operators, generating a significant competitive advantage versus small local competitors. The strategy is exclusively concentrated on tier-one acreage in heavily delineated areas of highly economic basins, which helps to mitigate both geological and engineering risk and ensure timely development of acquired acreage.

Transaction Summary

In April 2016, Fund X committed \$183.4 million, co-investors committed ~\$13 million, and management committed ~\$4 million, providing a total equity commitment of \$200 million to the company. Co-investors and Management contributed \$12 million of assets, consisting of producing properties and DJ Basin acreage, and committed \$5 million of additional equity capital. The investment is structured in the form of common equity with Fund X receiving 92% of distributed cash until an 8% IRR and 1.25x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In Q1 2018, Raisa's total equity commitment was expanded by \$100 million (comprised of ~\$92.4 million from Fund X, ~\$6 million from co-investors, and ~\$2 million from management). The expanded commitment will be utilized to continue creating an attractive portfolio of non-operated and mineral assets in the company's existing basins with potential to expand into additional basins.

In Q3 2019, Raisa closed the industry's first Investment Grade rated securitization, collateralized by a subset of PDP wellbores, and made a \$50 million 8/8ths distribution in Q4 2019.

During the 4th quarter of 2021, we successfully closed the sale of Raisa Energy II, LLC to Savitar Energy Holdings, LLC, a company formed by Ares and Citadel. Net to EnCap, \$222.2 million of cash proceeds to Fund X were received, representing a 1.06x ROI.

Valuation (\$000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Apr-16	\$252,662	\$268,140	\$0	\$268,140	1.06x	1.5%



Advance Energy Partners, LLC

Substantially Realized

Company Description

Advance Energy Partners is a privately-held, Houston-based independent oil and gas company focused on building an attractive asset base through an acquisition strategy focused on the Permian Basin. The Advance management team originally consisted of Peter Lellis (CEO), Ed Caamano (VP – Geoscience), David Harwell (VP – Engineering), David Scott (VP – Land) and Kevin Hays (CFO). Each technical team member has 30+ years of industry experience and substantial contacts in the industry from past roles at companies such as ConocoPhillips, Pioneer Natural Resources, Canadian International Oil Company and Laredo Petroleum. Most of the founding team members (excluding Kevin Hays) worked together on numerous projects at ConocoPhillips and developed a strong cohesion among the team. While at ConocoPhillips, Mr. Lellis served as Chief Geophysicist for U.S. Onshore, and he along with his team were responsible for several multibillion projects resulting in significant value creation.

Transaction Summary

In September 2014, Fund IX committed \$297.0 million and management committed \$3.0 million, providing a total equity commitment of \$300.0 million to the company. In May 2016, Fund IX's commitment was transferred to Fund X as a means to manage Fund IX's overall commitment level. Fund X reimbursed Fund IX for start-up costs incurred to date plus interest at 8%. In Q3 2017, the total equity commitment was expanded by \$150.0 million, comprised of \$148.5 million from Fund X and \$1.5 million from management, providing a total equity commitment of \$450.0 million.

The management interests of Advance were fully repurchased in Q4 2021. Ameredev II now operates the Advance assets under MSA, with a new management incentive structure in place. Fund X receives 100% of distributed cash until an 8% IRR is achieved on \$910 million of deemed equity value. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

During Q3 2017, Advance closed on a two-part acquisition of ~6k net acres (100% HBP / 100% WI / 78% NRI) with production of ~1,100 Boe/d (82% oil) in Lea County, NM from two private sellers. The asset represented one of the few remaining large, contiguous acreage positions in a premier area of the Delaware Basin. In conjunction with the acquisitions, in Q3 2017, Advance's total equity commitment was expanded by \$150 million (comprised of \$148.5 million from Fund X and \$1.5 million from management).

Due to an unforeseen terminal cancer diagnosis of a key management team member, EnCap made the difficult but prudent decision to buy out management's interests in the company during Q4 2021. The Ameredev II management team took over operations given their close proximity to the Advance assets, deep understanding of the area, and experience running a multi-rig development program.

On April 12, 2023 Advance closed on the previously announced sale of its operated and non-operated properties in New Mexico and Texas to Matador Resources Company (NYSE: MTDR) for ~\$1.6 billion in cash. At closing, \$991 million was distributed to Fund X, generating a 2.3x realized ROI and 18% IRR on Fund X's \$435 million equity investment.

Recent Events

On December 1, 2023, Advance closed on the sale of a majority of its remaining royalty assets for total cash consideration of ~\$81 million net to Fund X. EnCap is in ongoing negotiations to sell the remainder of the retained royalty assets with a target closing date in Q1 2024.



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Valuation (\$000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
May-16	\$435,418	\$1,108,837	\$79,619	\$1,188,456	2.73x	20.8%



Novo Oil & Gas Holdings, LLC

Substantially Realized

Company Description

Novo Oil & Gas Holdings, LLC (“Novo”) is a privately held, Oklahoma City based independent oil and gas company focused on the pursuit of statistically proven, liquids-rich unconventional assets within the Anadarko and Permian Basins. Novo is led by Tim Fahler (CEO) and John Zimmerman (CFO), two former managers of PayRock Energy, LLC (“PayRock I”), that played an integral role in the company’s successful sale of its core STACK position to Marathon Oil Corporation (NYSE: MRO) in August 2016. While at PayRock I, these individuals served as the Vice President of Reservoir Engineering and Business Development and Vice President of Finance, respectively. Management demonstrated the ability to evaluate, capture, and develop a sizeable and marketable asset while adapting to challenging market conditions and creating significant value. Novo’s strategy is to leverage Management’s expertise, relationships, and experience to make land acquisitions in the most economically compelling areas of the Permian Basin, in addition to testing STACK analogs within the Permian Basin. Novo plans to execute a return-focused strategy to build a consolidated footprint through greenfield leasing, farm-ins, joint ventures, and acquisitions based on regional geologic mapping and targeted geological prospects. Additionally, Novo intends to execute a minerals strategy within the Permian.

Transaction Summary

In August 2016, Fund X committed \$196.0 million to Novo and management committed \$4.0 million, providing a total equity commitment of \$200.0 million. The investment is structured in the form of common equity, with Fund X receiving 98% of distributed cash until an 8% IRR and 1.0x ROI is earned; thereafter, distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In 2017, Novo assembled ~14,675 net prospective acres in Ector County, Texas on the Central Basin Platform. Management targeted this area for its analogous characteristics to the STACK play of the Anadarko Basin, an area where the team has significant operational and technical expertise. After monitoring wells from several private operators in the area, the Company drilled and completed one horizontal well to test the prospectivity of the Meramec on its position in Q1 2018. The performance of the initial test well has been disappointing, and the play itself remains in the early stages of delineation. Rather than expose additional capital to the project area, the Company has decided to focus its efforts on the northern Delaware Basin and allow other operators in the area to delineate the play before exposing any incremental capital. In 2019, Novo brought in a third party to further delineate the position. The third party carried Novo for its portion of the well cost and the additional well results were not encouraging. There are no plans to expose additional capital to this project area. The Company will opportunistically market its position in Ector County and redeploy any proceeds into the Delaware.

Novo began assembling acreage in Eddy County, New Mexico in August 2017 through various number of small trades. In September 2018, Novo made a large acquisition (1,280 net acres) through the BLM lease auction in New Mexico. The acreage represents some of the most prolific rock in the Delaware Basin, and the lease terms are advantageous, characterized by ten-year lease terms, no pugh clauses, and 87.5% NRIs.

In Q2 2019, Novo acquired ~3,500 net royalty acres (normalized to 1/8th) (“NRAs”) directly offset and underneath its operated position in northern Eddy County for ~\$30.0 million or ~\$6,900 per NMA. These mineral interest are perspective for multiple highly economic zones and are located where industry activity is ramping, and in some instances, where Novo will directly control the development pace.

In Q3 2019, Novo acquired ~1,500 net acres and ~3,700 NRAs directly offset and underneath its operated position in northern Eddy County for \$62.5 million or ~\$10,400/ acre and ~\$12,500/NRA. The royalty



interest acquired is largely located underneath Novo operated acreage, and Novo will directly control the development pace.

In Q2 2021, Scala Energy, LLC's (another Fund X portfolio company) assets were acquired by Novo management. The assets had been previously managed by Novo since April 2020 via MSA.

Coming out of the Covid-induced downturn of 2020, Novo took advantage of the low service cost environment and improving commodity fundamentals, accelerating development activity to pull value forward through the drill bit on both the Novo and legacy Scala positions. By the beginning of 2023, the company had drilled and completed ~65 gross horizontal wells that were highly economic and allowed Novo to begin a robust distribution program from free cash flow which ultimately totaled \$515.0 million. Given the constructive macro environment and receptive A&D market, and proper balance of PDP to remaining inventory, EnCap made the decision to market the assets.

On June 14, 2023, Novo signed an agreement to sell all its working interest properties to Earthstone Energy (NYSE: ESTE) and non-operated working interest partner, Northern Oil and Gas (NYSE: NOG) for total consideration of \$1.5 billion in cash.

The assets being sold include ~17,000 net acres in the Delaware Basin in Eddy County, NM and Culberson County, TX and are currently producing ~57 Mboe/d (66% liquids).

On August 15, 2023, Novo closed on the previously announced transaction. Including distributions from Novo prior to the sale and accounting for holdback and other closing adjustments, the transaction generated a cash on cash realized return net to Fund X of 2.3x ROI at closing.

Recent Events

Novo continued to manage its portfolio of royalty assets that were excluded from the sale to Earthstone and Northern Oil and Gas. These assets consist of ~8,400 NRAs and represent substantial incremental value to Fund X. Current monthly royalty income is ~\$7.0 - \$8.0 million and the company will look to opportunistically monetize these retained assets when market conditions dictate.

Additionally, the company received the first holdback release from escrow on February 15, 2024, representing \$33.75 million net to Fund X.

Valuation (\$000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Aug-16	\$491,336	\$1,159,920	\$277,978	\$1,437,898	2.93x	23.6%



PetroLegacy Energy II, LLC

Substantially Realized

Company Description

PetroLegacy II is a privately held, Austin-based independent oil and gas company focused on acquire-and-exploit opportunities with a specific focus on the South Texas Eagle Ford. The management team consists of Jason Churchill (CEO), Aaron Gutierrez (EVP of Asset Development & Engineering), JD Braddock (EVP of Business Development & Land), and Kris Simpson (CFO). Prior to the formation of PetroLegacy, certain members of the management team worked together in leadership roles at Fund VIII-backed Venado Oil & Gas. Mr. Churchill was previously VP of Operations at Venado and led the drilling of Venado's 40 Eagle Ford wells. Prior to Venado, Mr. Churchill led an operations engineering team within XTO Energy. Prior to joining Venado as Reservoir Engineering Manager in 2016, Mr. Gutierrez was the lead engineer across several asset areas at Samson Resources. Mr. Braddock was Land Manager at Venado and led the land acquisition efforts of more than 250,000 acres in the East Texas Eagle Ford and South Texas. He previously played a key role in the land function at Broad Oak Energy. Prior to joining PetroLegacy, Mr. Simpson served as CFO at Luxe Minerals and Luxe Energy, where he led the company's financial and business development efforts.

Transaction Summary

In July 2016, Fund X committed \$149.7 million and management committed \$0.3 million, providing a total equity commitment of \$150 million to the company. The investment is structured in the form of common equity with Fund X receiving 99.8% of distributed cash until an 8% IRR and 1.25x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

On March 13, 2017, PetroLegacy signed a PSA to acquire 20,088 net acres in Martin County, Texas from Pioneer Natural Resources for \$266MM. The asset included PDP PV-10 of \$38MM from current production of 1,440 Boe/d. After backing this value out of the purchase price, PetroLegacy acquired the position for an acreage value of ~\$11,350/acre. Management closed on the acquisition in Q2 2017. In conjunction with the acquisition, PetroLegacy's total equity commitment was expanded from \$150 million to \$400 million (100% of the expansion net to Fund X).

On June 12, 2023, EnCap closed on the previously announced sales of Piedra III, Piedra IV, PetroLegacy and Black Swan's operated and non-operated properties in the Northern Midland Basin to Ovintiv Inc. (NYSE: OVV) for a total consideration of \$4.36 billion (\$3.24 billion in cash and \$1.12 billion in stock). The equity consideration was priced off of a 5-day VWAP as of the 3/31/2023 close (\$35.23 / share), which equates to 31.8 million shares of OVV common stock. After debt payoff, transaction fees, and post-closing adjustments, \$2.3 billion was distributed to EnCap, representing a 1.72x cash ROI on \$1.5 billion equity invested.

The combined assets being sold comprised of ~65,000 net acres primarily in Martin and Andrews counties with net production of ~75 MBoe/d (85% oil). In addition, all companies retained additional asset value in mineral and royalty interests that were excluded from the transaction.

PetroLegacy contributed ~25,000 net acres located in Martin County, TX to the sale and received ~\$730 million in cash and ~10.0 million shares at closing. At closing, the transaction generated a cash on cash realized return net to Fund X of 1.6x ROI, excluding any value of the stock received.

Additionally, PetroLegacy retained ~5,000 NRAs that were excluded from the assets sold to Ovintiv.

During 3Q 2023, EnCap sold 15 million OVV shares through a secondary offering at an effective share price of \$45.41/share. In aggregate, the sale generated ~\$535 million in proceeds net to Funds IX, X, and

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XI. PetroLegacy's allocated shares represent ~4.7 million of the shares sold and generated ~\$186 million in proceeds net to Fund X.

During 3Q, 2023 the company additionally sold the retained ~5,000 NRAs that were excluded from the broader asset sale during the quarter to a private buyer for total cash consideration of ~\$61 million.

Recent Events

During 4Q 2023 and early 2024, EnCap sold its remaining ~16.8 million OVV shares through two separate secondary offerings at an effective share price of \$43.96/share. In aggregate, the sales generated ~\$738 million in proceeds net to Funds IX, X, XI. PetroLegacy's allocated shares represented ~5.3 million shares and generated ~\$191 million in proceeds net to Fund X. After the stock sale and minerals sale, PetroLegacy's cash on cash return is a 2.7x net to Fund X.

Valuation (\$000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Sep-16	\$443,279	\$1,074,189	\$89,512	\$1,163,701	2.63x	18.7%



Grayson Mill Energy, LLC

Fully Realized

Company Description

Grayson Mill Energy is a privately held, Houston-based independent oil and gas company focused on the acquisition and development of oil and gas properties in the Rockies region and South Texas. The Grayson Mill management team is led by Eric Bayes (CEO), Blake Sullens (COO), Matt Ultis (CFO), and Dewey Gerdum (VP-Business Development). Mr. Bayes was most recently VP Operations with Oasis Petroleum (“Oasis”), where he managed the entirety of Oasis’ operations team in the Bakken, which included 16 rigs, six frac crews, and over 300 employees at its peak. While at Oasis, Mr. Bayes was being groomed to be a future leader of the company prior to deciding to pursue his own venture. Mr. Sullens was most recently Operations Manager at Alta Resources, where he played a critical role in the execution and success of the company’s Duvernay asset. He brings a unique combination of operational, engineering, and petrophysical expertise to the team. Mr. Ultis was previously CFO of Redman Management Company (GSO portfolio company) and also held various corporate planning, finance, and investor relations roles at Oasis. Mr. Gerdum previously served as VP-Business Development at Bright Horizon Resources, where he focused on the Midcontinent and East Texas basins. Prior to Bright Horizon Resources, Mr. Gerdum worked at PDC Energy for nineteen years, where he was part of the original team that formed PDC’s successful strategy to enter the Wattenberg and Piceance basins. The team has also been supplemented with technical members who have extensive industry experience in the Rockies. Grayson Mill will take a strong, data-driven and operational approach to identify, capture, and exploit assets in the underappreciated Rockies basins.

Transaction Summary

In October 2016, Fund X committed \$174.4 million and management committed \$0.7 million, providing a total equity commitment of \$175.1 million to the company. The investment is structured in the form of common equity with Fund X receiving 99.6% of distributed cash until an 8% IRR and 1.20x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In Q2 2017, Grayson Mill entered the Powder River Basin through the acquisition of ~4,000 net acres from Abraxas. The company subsequently expanded its position through a series of low-cost acquisitions and leasing.

In Q4 2017, Grayson Mill divested ~19,000 net acres in the Powder River Basin to an incumbent operator for \$27 million, which generated a 1.56x ROI on the divested acreage. The Board viewed this sale as a prudent way to mitigate risk given the project’s capital exposure level and certain land surface issues on the divested acreage.

Grayson Mill had ~24,000 net acres in a consolidated block offset Devon’s “Atlas West” project area prospective for multiple benches including the Niobrara and Turner formations. The company completed two Turner wells in Q4 2020 and Q4 2021 with results that met type curve expectations and yielded compelling economics in the current environment. However, this position proved to be difficult to scale and to allocate incremental capital to given unfavorable exit considerations in the Powder River Basin.

Over prior years, the company explored strategic alternatives including attracting a JV partner or an outright sale. In Q3 and Q4 2022, Grayson Mill ran an internal process to gauge market interest in an outright sale. Ultimately, EOG Resources presented the highest valuation, and in Q4 2022, Grayson Mill sold its assets to EOG for \$35 million in cash consideration. In Q4 2023, the company made a subsequent distribution related to a cash holdback from this sale. Management will dedicate the entirety of its focus on the Bakken via Grayson Mill II and Grayson Mill III.



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Valuation (\$000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Oct-16	\$58,733	\$44,776	\$0	\$44,776	0.76x	(6.3)%



Royal Holly Energy, LLC

Fully Realized

Company Description

Royal Holly is a privately held, Tyler-based independent oil and gas company that will pursue the acquisition and development of oil and gas assets in the Ark-La-Tex Basin, primarily focusing on the liquids-rich Cotton Valley trend. Management is led by Greg Wood (President & CEO), Kevin Reed (EVP Land, BD, & Corporate Planning), Larry Tschirhart (VP Operations), David Rice (VP Engineering), and Nicholas Drumsta (VP Exploration). Management has an average of over 25 years of industry experience, and all members of management have dedicated a significant portion of their careers focused in the Ark-La-Tex, which provides Royal Holly with invaluable expertise and strong relationships in its focus area. Of note, Mr. Wood was a founding member and led all land and business development functions for three successful, NGP-backed companies (Classic I, II, and III) from 1998-2005 and later served as VP Land for Tanos Exploration I from 2008-2013. The three Classic entities each generated a minimum of a 4.0x ROI and returned a total of \$240.0 million in proceeds on \$40.0 million of invested capital. Mr. Tschirhart served as VP Operations for all three Classic entities and was most recently a Partner and VP Engineering for East Texas Oil & Gas. Mr. Reed served as Land Manager for Navidad Resources (Fund VI) from 2010-2013 and has served as the land and BD manager for Buffco Production since then, leading over \$500.0 million in asset deals across multiple basins. Mr. Rice has extensive operations and reservoir experience in tight gas sands in East Texas and Oklahoma, specifically with JW-Operating and Amoco. Finally, Mr. Drumsta has held various technical and managerial positions for multiple operators including PetroQuest, which is actively drilling the Cotton Valley. Management will rely on subsurface data and historical well data to identify focus areas with key attributes that the team has found to be critical for success in the play. The team will then leverage its depth of relationships to capture a small but scalable position through a combination of acquisitions, leasing, and farm-ins.

Transaction Summary

In January 2017, Fund X committed \$148.5 million and management committed \$1.5 million, providing a total equity commitment of \$150.0 million to the company. The investment is structured in the form of common equity with Fund X receiving 99% of distributed cash until an 8% IRR and 1.0x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Since inception, Royal Holly has executed on its strategy of capturing low-cost acreage positions with attractive horizontal upside in the liquids-rich area of the Cotton Valley in East Texas. In Q2 2017, Royal Holly closed on the acquisition of ~11,200 net acres in two distinct transactions. The first was the acquisition of ~4,200 net operated acres in Harrison and Marion counties, Texas in the Woodlawn Field. The second acquisition included ~7,000 net non-operated acres in the South Overton Field in Smith and Cherokee counties, Texas. In Q3 2017, Royal Holly acquired a third project in the Cotton Valley in the Willow Springs area, which includes ~3,700 net operated acres in Gregg and Harrison counties, Texas. Additionally, management reached an agreement on a “drill-to-earn” deal in the Woodlawn area. The acreage is intermingled and contiguous to the team’s current acreage and represents ~7,000 gross acres of bolt-on Cotton Valley rights. The agreement was structured with minimal upfront capital exposure and future capital requirements.

Overall, the company’s acreage position includes ~17,200 net acres (includes bolt-ons and leasing in the aforementioned project acres) that are substantially HBP and have a low cost basis of ~\$310/acre after backing out PDP value. There are several horizontal rigs running in the Cotton Valley trend and permitting by offset operators continues.

After monitoring results from Royal Holly’s first horizontal well, it became apparent that horizontal Cotton Valley drilling has more variability and risk than the company initially believed. As such, EnCap made

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the strategic decision to halt all activity. In Q1 2019, Royal Holly divested its assets to three separate buyers for ~\$9 million in total. While disappointing, the opportunity set did not merit additional capital or G&A expense, and we believed it prudent to liquidate the company.

Valuation (\$000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jan-17	\$26,166	\$8,704	\$0	\$8,704	0.33x	(46.4)%



Fortis Minerals - Oklahoma

Fully Realized

Company Description

Beginning in 2016 EnCap partnered with the Fortis management team through three separate Fund X ventures, Fortis I: \$275 million commitment, \$265 million invested, Fortis II: \$350 million commitment, \$335 million invested and Fortis III: \$100 million commitment, \$3.2 million invested.

Transaction Summary

During the investment period of Fortis I, II and III, the Fortis management team acquired mineral and overriding royalty interest in both the Permian and Anadarko basins with the majority of its capital being spent in the Permian. As part of our broader EnCap Mineral consolidation, we made the difficult decision to part ways with the Fortis Management team and consolidated all of the Fortis I, II and III Permian assets into EnCap Minerals. We excluded the remaining Fortis I and II Oklahoma assets from EnCap Minerals as these assets fall outside of the Permian Basin. These excluded assets, which reside in the STACK play of the Anadarko Basin and represent ~20,500 NRAs, have been consolidated into Fortis – Oklahoma and are currently being managed under a separate MSA with the Pegasus management team.

Post Investment Activity

During 4Q 2022, EnCap closed on the sale of its consolidated STACK mineral assets to 89 Energy for ~\$230 million of total consideration. The Fortis Oklahoma mineral assets represented ~40% of the total consolidated assets sold to 89 Energy. The \$230 million 8/8ths sales price translated to ~4.7x projected 2023 EBITDA and was meaningfully above the PDP PV-10 value of the assets, which at the time was ~\$155 million at strip pricing. At closing on October 7, 2022, Fortis Oklahoma received \$77.9 million of proceeds. In addition to the proceeds received at closing, EnCap received an additional ~\$17 million of proceeds during 2023 from holdbacks and post-closing title defect curative payments.

Valuation (\$000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Mar-17	\$161,268	\$173,805	\$0	\$173,805	1.08x	1.6%



Staghorn Petroleum II, LLC (“Staghorn III”)

Substantially Realized

Company Description

Staghorn Petroleum II (“Staghorn III”) is a privately-held, Tulsa-based oil and gas company focused on the pursuit of sizeable, high-growth and/or emerging plays through a combination of (i) producing and non-producing property acquisitions, (ii) grass-roots leasing and (iii) farm-ins or joint ventures. The Staghorn III executive management team consists of Frank Eby (CEO), Peter Vail (CFO), Ken March (SVP of Geology), Jeff Frederick (VP of Asset Engineering) and Richard Eby (VP of Land & Business Development). Each team member has garnered significant industry experience and contacts from past roles at companies including Newfield Exploration, Apache Corporation, Vintage Petroleum, Staghorn Energy, LLC (“Staghorn I”) and Staghorn Petroleum (“Staghorn II”). EnCap has known Mr. Eby for over a decade and formalized its partnership with him in 2007 via a \$9.3 million equity investment in Staghorn I from Fund VI for a 25% ownership in the company. To date, Fund VI has realized a 2.6x cash-on-cash return on its investment in Staghorn I. Most recently, Mr. Eby and EnCap formed Staghorn II, which sold a portion of its assets to Apollo-backed Chisolm Oil and Gas Operating, LLC in 2017. This transaction provided Fund X with \$373 million of total distributions, which implies a 2.3x cash-on-cash ROI (assuming no value given to Staghorn II’s retained assets mentioned below) on Fund X’s total investment in Staghorn II of \$165 million.

Council Oak was a privately-held, Tulsa-based oil and gas company focused on building a portfolio of resource play assets through an early-stage and/or extensional lease-and-drill strategy throughout the Anadarko Basin. Council Oak was led by a group of five executive team members comprised of key technical and business talents from SM Energy (Rick Fritz – CEO/VP of Geology and Marlon Wells – VP of Operations), Petrohawk/BHP Billiton (Rick Deffenbaugh – VP of Land), Laredo Petroleum (Blake Herndon – CFO), and Newfield Exploration (Tim Phillips – Engineering Manager). Each management team member will play an integral role in Council Oak’s decision-making process given their unique but highly complementary skill sets; however, the group will rely on Rick Fritz to harness the team’s efforts, lead their discussions and ultimately cast the deciding vote. Management has played an integral role in the generation and subsequent development of numerous resource plays throughout their careers, including Newfield’s prolific STACK play and a number of other sizeable, up-and-coming Anadarko Basin resource play concepts.

Transaction Summary

In May 2017, Fund X committed \$291 million alongside a \$9 million commitment from management for a total initial equity commitment of \$300 million to Staghorn III. The investment is structured in the form of common equity with Fund X receiving 97% of distributed cash until an 8% IRR and 1.25x ROI is achieved, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Following the formation of Staghorn III, Staghorn II and Staghorn III entered into a mutually-beneficial joint venture allows management to continue creating value for the western STACK assets held by Staghorn II, while also adding to that position in Staghorn III. At formation, Staghorn II contributed its retained ~38k net acres to the joint venture and Staghorn III agreed to fund all future capital for leasing, acquisitions and development in exchange for equity ownership in the joint venture on a pro-rata basis.

In July 2015, Fund X committed \$297.75 million to Council Oak and management committed \$2.25 million, providing a total equity commitment of \$300 million. The investment is structured in the form of common equity, with Fund X receiving 99.25% of distributed cash until an 8% IRR and 1.25x ROI is earned; thereafter, distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

In May 2019, EnCap closed on the consolidation of Council Oak’s Anadarko Basin Osage Chert assets and the Arkoma Basin upstream and midstream assets under the management of Staghorn III. The assets consist



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of ~34k net acres in the Northwest STACK Extension Play and ~51k net acres in a second focus area, the Arkoma East STACK prospect. Council Oak also entered into a joint venture arrangement with Tall Oak Midstream III (“Tall Oak III”), an EnCap Flatrock portfolio company, whereby Council Oak dedicated all of its acreage position in the company’s Arkoma East STACK prospect in exchange for a 20% interest in Tall Oak III’s system that is focused on capturing acreage/volume dedications, as well as providing gas gathering and processing services.

In Q4 2019, EnCap and JP Morgan sold the working interest assets held in Staghorn II & Staghorn III to management for ~\$24mm (~\$22mm net to EnCap). The transaction closed in January, and Fund X received net proceeds to Staghorn III of \$13.7 million.

In Q1 2021, Tall Oak III was sold to Tailwater Capital for cash consideration and a subordinated 5-year note totaling ~\$13.8 million net to Fund X. This cash will be distributed over the next few years, and no other assets remain in the entity.

Valuation (\$000’s)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
May-17	\$276,764	\$29,303	\$1,819	\$31,122	0.11x	(32.8)%



Olifant Energy, LLC

Fully Realized

Company Description

Olifant Energy (“Olifant”) is a privately-held, Tulsa-based independent oil and gas company. The Olifant executive management team will be led by Don Burdick (CEO) and Bill Martin (President/COO), two former key executive team members (VP – Geology and VP – Engineering, respectively) of Kayne Anderson-backed Panther Energy Company II. Burdick and Martin will be accompanied by Adam Robinson (VP – Land and Legal), Jesse Gilman (VP – Development), Mack Blackford (VP – Exploration), Chad Trainer (VP – Planning, Operations and Engineering), Ken Fayard (VP – Production and Production Accounting), Tate Pope (Reservoir Engineer), Bill Crabtree (Petrophysicist) and Todd Harrell (Chief Accounting Officer). The team has worked together extensively throughout their careers, with eight of the ten team members coming from Panther II and the other two being hand-selected based on previous work experience with Burdick or Martin. Each team member has garnered significant industry experience and expertise through their roles at large operators including Cimarex Energy, Newfield Exploration, SM Energy, Vintage Petroleum, ConocoPhillips, Laredo Petroleum, SK Plymouth, Samson Resources and QEP Resources. Olifant will focus on building an attractive acreage position through a lease-and-drill, play-expansion strategy in proven basins. While the team has the skills, experience and contacts to pursue opportunities across the Lower-48, they plan to initially focus on the Permian and Anadarko basins where members of the team have successfully built and monetized asset positions at Panther Energy Company II and Panther Energy Company I, respectively. The company will initially leverage all available data to identify overlooked expansion areas near established economic activity within these proven basins.

Transaction Summary

Olifant was formed in June 2017 with a \$300 million total equity commitment comprised of \$297 million from Fund X and \$3 million from management. The investment is structured in the form of common equity with Fund X receiving 99% of distributed cash until an 8% IRR and 1.10x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Closed on the sale of its assets to U.S. Energy Development Corporation in October 2019, and Fund X received ~\$11.3 million in net proceeds.

Valuation (\$000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jun-17	\$76,230	\$11,219	\$0	\$11,219	0.15x	(64.6)%



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Section IV: Financial Statements

Audited 2023 financial statements to be provided by March 31, 2024